CUSTOMS

AN ORDINANCE FOR THE GENERAL REGULATION OF CUSTOMS IN CEYLON.

Ordinance Nos,
17 of 1869
1 of 1871
21 of 1873
1 of 1875
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32 of 1941
54 of 1941
8 of 1944
17 of 1946
43 of 1946

Act Nos,
6 of 1948
9 of 1949
10 of 1950
27 of 1951
29 of 1952

[1st January , 1870]

Short title. **1**. This Ordinance may be cited as the Customs Ordinance.

PART I
MANAGEMENT

Appointment of officers.

2. There may be appointed a Principal Collector of Customs and other officers and servants for the management and collection of the customs, and the performance of all duties connected therewith; on such salaries and allowances as may be provided in that securities. behalf, and there may be required of every person now employed or who shall hereafter be employed in the service of the customs, such securities for his good conduct as the Minister may deem necessary, and the Principal Collector of Customs shall, Principal throughout Ceylon, have the general Collector. superintendence of all matters relating to the customs.

Persons employed by customs deemed officers for such service.

3. Every person employed on any duty or service relating to the customs within Ceylon, by the orders or with the concurrence of the Minister or the Collector, whether previously or subsequently expressed, shall be deemed to be the officer for that duty or service, and every act, matter, or thing required by any law at any time in force to be done or performed by, to, or with any particular officer nominated in such law for such purpose, being done or performed by, to, or with any person appointed by the Minister or the Collector to act for or in the behalf of such particular officer, shall be deemed to be done or performed by, to, or with such particular officer; and every act, matter, or thing required by any law at any time in force to be done or performed at any particular place within any port, being done or performed at any place within such port appointed by the Minister for such purpose, shall be deemed to be done or performed at the particular place so required.

Officer taking any fee or reward on account of anything done by him relating to his office shall be dismissed.
Penalty for offering fee

4. If any officer or other person acting in any office or employment in or belonging to the customs shall take or receive any fee, perquisite, gratuity, or reward, whether pecuniary or of any other sort or description whatsoever, directly or indirectly from any person (not being a person duly appointed to some office in the customs) on account of anything done, to be done, or omitted to be done by him in any way relating to his said office or employment, except such as he shall receive under any order or permission of the Minister or Collector, such officer or other person so offending shall, on proof thereof, be dismissed from his office, and he shall be deemed guilty of an offence, and shall be liable on conviction to a fine not exceeding two hundred rupees; and if any person, not being a person duly appointed to some office in the customs, shall give, offer, or promise to give any such fee, perquisite, gratuity, or reward, such person shall for every such offence forfeit a sum not exceeding one thousand rupees.

Officers of customs not liable to serve in other local offices.

5. No officer of customs, nor person employed in the collection or management of or accounting for the revenue of customs, or any part thereof, nor any other person acting under him, shall, during the time of his acting as such officer, or of his being so employed as aforesaid, be compelled to serve in any other public office or employment or to serve on any jury or inquest, any law, usage, or custom to the contrary notwithstanding.

Hours of attendance.

6. It shall be lawful for the Principal Collector, with the sanction of the Minister, from time to time to appoint the hours of general attendance of the respective officers and other persons under his survey at their proper offices and places of employment.

Collector authorized to administer oaths

7. In all cases wherein proof on oath shall be required by any law, or shall be necessary in any matter relating to the customs, the same may be made before the Collector or other principal officer of customs, or before the persons acting

for them respectively, who are hereby authorized and empowered to administer the same.

Collector, &c. may examine witnesses on oath. False oath deemed false evidence.

8.

(1) Upon examinations and inquiries made by the Collector, or other principal officer of the customs, or other persons appointed to make such examinations and inquiries, for ascertaining the truth of statements made relative to the customs, or the conduct of officers or persons employed therein, any person examined before him or them as a witness shall deliver his testimony on oath, to be administered by such Collector or other principal officer, or such other persons as shall examine any such witness, who are hereby authorized to administer such oath; and if such person shall be convicted of giving false evidence on his examination on oath before such Collector or other principal officer of customs, or such other person in conformity to the directions of this Ordinance, every such person so convicted as aforesaid shall be deemed guilty of the offence of giving false evidence in a judicial proceeding, and shall be liable to the pains and penalties to which persons are liable for intentionally giving false evidence in a judicial proceeding.

(2) A person making an inquiry under subsection (!) may summon as a witness any other person whose evidence is necessary for the purposes of the inquiry; and a person who is summoned under this subsection shall, if he does not comply with the summons or refuses to be sworn or affirmed or to give evidence, be guilty of an offence of and liable to a fine not exceeding one thousand rupees.

Collector, &c, to call upon persons to produce documents.

9.

(1) The Collector or any officer of customs authorized in that behalf by him may, for the purpose of ascertaining or verifying any matter relative to the customs, by written order require any person to produce any books or documents in his possession before such date as may be specified in the order.

(2) A person who does not comply with an order issued to him under subsection (1) shall be guilty of an offence and liable to a of fine not exceeding one thousand rupees.

PART II
LEVYING OF CUSTOMS DUTIES

Duties to be levied and power of Parliament to modify duties.

10. The several duties of customs, as the same are respectively inserted, described, and set forth in figures in the table of duties (Schedule A)* shall be levied and paid upon all goods, wares, and merchandise imported into or

exported from Ceylon: Provided that-

(a) Parliament may from time to time, by means of a resolution duly passed at any public session, increase, reduce, abolish, or otherwise alter the customs duty leviable on any goods imported into or exported from Ceylon or into or from any specified port therein, or subject to such terms or conditions, if any, as may be expressed in the said resolution, may impose customs duty upon any goods so imported or exported whereon customs duty at the time when such resolution is passed is not leviable; or may add other goods to the goods enumerated in the said Schedule as exempt from customs duty ; or may add to, rescind, or vary any of the conditions, exceptions, or provisions of the said Schedule with regard to the payment of customs duty; or may amend or alter the provisions of the said Schedule by the deletion of references to goods stated therein to be exempt from import duty, or by specifying that goods of any class or description shall, subject to such terms and conditions as may be expressed in the resolution, be exempt from export duty, or by adding to, deleting from or in any manner varying the classification or description of goods specified in the said Schedule or any provision contained therein relating to any such goods, whether or not the duty on such goods is varied, imposed or abolished by the resolution ;

(b) no such resolution shall take effect unless it shall have been notified in the Gazette;

(c) express reference in the said Schedule to any customs duty leviable on any goods imported into or exported from Ceylon shall not affect or be deemed to affect any royalty, cess or duty, by whatsoever name called, which is leviable or payable on the importation or exportation of such goods under any written law other than this Ordinance.

Provision for imposition of export duty at varying rates.

[2, 27 of 1951.]

11 .

(1) Any resolution under section 10 imposing export duty-

(a) may impose upon any goods duty at rates varying in accordance with fluctuations in the f.o.b. value of the goods ; and

(b) may provide for the estimation from time to time by the Collector of the amount which shall be deemed, for the purposes of the application of the resolution, to be the f.o.b. value of the goods to which it applies.

(2) Where in terms of subsection (1) of this section export duty on any goods is imposed by any resolution at rates differing in

accordance with fluctuations in the f.o.b. value of the goods, the following provisions shall have effect in relation to contracts for the exportation of such goods entered into by a seller in Ceylon (hereinafter referred to as " the exporter") and a buyer overseas : –

(a) the exporter may make application to the Collector for the registration of the contract, specifying in the application –

(i) the total quantity of the goods covered by the contract ;

(ii) the period within which the goods are required by the terms of the contract to be exported (hereinafter referred to as the " proposed period of exportation "); and

(iii) such other particulars as the Collector may require ;

(b) any such contract may be registered by the Collector subject, however, to the provisions of subsections (3) and (4);

(c) where any such contract is registered, then, notwithstanding anything in the resolution imposing export duty upon such goods, export duty shall be charged, levied and paid, on ail goods proved to the satisfaction of the Collector to be exported during the proposed period of exportation in fulfilment of the contract, at the rate which would have been applicable if the goods had been exported on the date of the application for the registration of the contract.

(3) No contract shall be registered as provided in subsection (2), if the proposed period of exportation of the goods to which the contract relates is a period ending later than six months after the date of the application for registration of the contract: Provided that the aforesaid term of six months may, by regulation made under subsection (12), be increased or reduced whether in relation to contracts generally or to contracts of any specified description.

(4) No contract shall be registered as provided in subsection (2) unless the exporter under that contract, either-

(a) deposits with the Collector a sum of money equal to one-fourth of the amount which would be payable as export duty upon the total quantity of goods covered by the contract if such total quantity were

being exported on the date of the application for the registration of the contract; or

(b) the exporter has furnished to the Collector a bond in such form, and executed by any such bank, as may be approved by the Collector, whereby the bank undertakes to pay to the Collector on demand any sum which may be declared by order of the Collector under subsection (5) to be payable by the bank in relation to that contract, so however that the maximum sum so undertaken to be paid shall be one-fourth of the amount which would be payable as export duty upon the total quantity of goods covered by the contract, if such total quantity were being exported on the date of the application for the registration of the contract.

(5) In any case where a contract has been registered as provided in subsection (2) and it is found on the date of the expiration of the proposed period of exportation that the contract remains wholly or partly unfulfilled, then, if the rate of duty prevailing on that date under the resolution passed in terms of subsection (1) (hereinafter referred to as the " new rate ") is lower than the rate which prevailed thereunder on the date of the application for the registration of the contract (hereinafter referred to as the " old rate ") –

(a) the Collector shall make an assessment of the amount which would have been payable as export duty at the old rate on the quantity of the goods in respect of which the contract remains unfulfilled, and an assessment of the amount which would be payable as export duty at the new rate on the said quantity ; and

(b) the Collector shall make order declaring that a sum representing the difference between the two amounts so assessed shall be made good out of the deposit made by the exporter under subsection (4) in respect of the contract, or, as the case may be, be paid by the bank by which the bond was executed in terms of that subsection in respect of the contract :

Provided that the sum ordered to be paid under the preceding provisions of this subsection in respect of any contract shall not exceed the total sum deposited under subsection (4) in respect of that contract, or, as the case may be, the total sum specified in the bond executed in terms of that subsection in respect of the

contract.

Upon an order being made by the Collector under this subsection declaring that any sum shall be paid by a bank, the bank shall be bound forthwith on demand made by the Collector to pay such sum to the Collector.

(6) In any case where the Collector is satisfied that any contract registered under this section remains wholly or partly unfulfilled owing to causes beyond the control of the exporter, then notwithstanding anything in the preceding provisions of this section the Collector may in his discretion-

(a) extend the proposed period of exportation and direct that such extended period shall be deemed for the purposes of paragraph (c) of subsection (2) and of subsections (5) and (10) to be the proposed period of exportation ; or

(b) make order directing that the provisions of sub-section (5) shall not apply in relation to the contract ; or

(c) make order directing that for the purposes of subsection (5) the contract shall be deemed to remain unfulfilled only in relation to such part of the total quantity of goods, covered by the contract as may be specified in the order.

(7) All sums ordered under subsection (5) to be made good out of any deposit and all sums paid by any bank in compliance with an order under subsection (5) shall be paid into the Consolidated Fund.

(8) In any case where a contract has been registered under the preceding provisions of this section, it shall be the duty of the exporter, whenever any goods are being exported in fulfilment of the contract, to make a declaration to that effect in the bill of entry relating to the goods and in the specification furnished in respect of the shipment of such goods ; and-

(a) where no goods have been so declared by the exporter to be goods exported in fulfilment of the contract, the Collector shall, for the purposes of subsection (5). be entitled to presume, unless the contrary is proved to his satisfaction, that the contract remains wholly unfulfilled ; or

(b) where the quantity of goods so declared by the exporter to be goods exported in fulfilment of the contract is less than the total quantity covered by the

contract, the Collector shall, for the purposes of subsection (5), be entitled to presume, unless the contrary is proved to his satisfaction, that the contract remains unfulfilled in respect of the outstanding part of such total quantity.

(9) The Minister may by order provide for the payment of interest on deposits made under this section, at such rate, and in such circumstances, and subject to such conditions, as may be specified in the order.

(10) The amount of any deposit made under subsection (4) by any exporter in respect of any contract shall, subject to the operation of any order made under subsection (5), be returned to the exporter as soon as convenient after the exportation in fulfilment of the contract of the total quantity of goods covered thereby or the expiration of the proposed period of exportation, whichever time is the earlier : Provided, however, that the Collector may in his discretion make order directing the return of any part of any such deposit at any time after the contract has been substantially fulfilled.

(11) No sum constituting or forming part of any deposit made under subsection (4) by any exporter shall be liable at any time to be seized or sequestered in execution of any decree or order of any court, if the Collector certifies that the exporter is not at that time entitled to the return of that sum under subsection (10) of this section.

(12) The Minister may make such regulations as he may consider necessary for carrying into effect the preceding provisions of this section.

(13) In each of the preceding subsections-

” Collector ” means the Principal Collector of Customs and includes any officer of customs authorized by the Principal Collector to act on his behalf for the purposes of the subsection; and

” the date of the application for registration of the contract” means the date on which the application for registration is received by the Collector.

(14) The preceding provisions of this section shall have effect notwithstanding anything to the contrary in any other provision of this Ordinance.

(15) It is hereby declared for the avoidance of doubts that an order made under section 2 of the Revenue Protection

Ordinance, consequent upon the approval by the Cabinet of the introduction of a resolution in terms of subsection (1) of this section, may contain provision with respect to the matters mentioned in that subsection. And where such an order is made, subsections (2) to (14) of this section shall, during the period for which the order is in force, apply in all respects as though the order were the resolution ; and accordingly anything done or any liability incurred under any of those subsections during that period shall, if the resolution is passed by the House of Representatives, have thereafter the same force and effect as though the resolution had been in force during that period.

Prohibitions and restrictions and power of Parliament to add thereto.

12. (1) The goods enumerated in the table of prohibitions and restrictions in Schedule B* shall not be imported or brought into or exported or taken out of Ceylon save in accordance with the conditions expressed in the said Schedule.

(2) Parliament may from time to time, by means of a resolution duly passed at any public session, amend Schedule B* by the addition thereto of any goods other than those enumerated therein or by the omission therefrom of any goods enumerated therein or otherwise, and regulate the conditions subject to which the importation or bringing into or the exportation or taking out of Ceylon of any goods enumerated in the said Schedule* is prohibited or restricted.

Goods in warehouse to be liable to the duties imposed by this Ordinance.

13. All goods whatsoever which shall have been warehoused without payment of duty upon the first importation thereof, and which shall be in the warehouse when this Ordinance comes into force, shall become liable to the duties imposed by this Ordinance, in lieu of all former duties.

Goods in warehouse to be liable to increased or new duties.

14. When any variation is made in any of the provisions of Schedule A*, whether by the amendment of this Ordinance or by the exercise of any power given by this Ordinance or any other enactment, any goods that shall have been warehoused without payment of duty upon the first importation thereof, and which shall be in the warehouse at the time when the said variation comes into force, shall be subject to duty or exempt from duty, as the case may be, in accordance with the said variation.

Power to charge warehouse rent

15. On all goods lodged in any warehouse of the Republic, warehouse, or place of deposit provided by Government, it shall be lawful for the Collector to charge, demand, and receive warehouse rent for all such time as the same shall remain in such warehouse, at such rates and under such regulations as may from time to time be fixed by the Minister, as warehouse rent payable on goods so lodged, and no goods upon which warehouse rent may be due shall be removed until the same

be paid.

Definition of time of an importation and of an exportation, and of an arrival; and of a departure.

16. If upon the first levying or repealing of any duty, or upon the first permitting or prohibiting of any importation or whether inwards, outwards, or exportation; coastwise in Ceylon, it shall become necessary to determine the precise time at which an importation or exportation of any goods made and completed shall be deemed to have had effect, such time, in respect of importation, shall be deemed to be the time at which the ship importing such goods had actually come within the limits of the port at which such ship shall in due course be reported and such goods be discharged ; and such time, in respect of exportation, shall be deemed to be the time at which the goods had been shipped on board the ship in which they had been exported; and if such question shall arise upon the arrival or departure of any ship, in respect of any charge or allowance upon such ship, exclusive of any cargo, the time of such arrival shall be deemed to be the time at which the report of such ship shall have been or ought to have been made; and the time of such departure shall be deemed to be the time of the last clearance of such ship with the Collector for the voyage upon which she had departed.

Duties to be paid in Ceylon currency according to standard weights and measures. Produce of customs duties to be paid into the Treasury, &c.

17. All duties of customs, as well as all penalties and forfeitures incurred under this Ordinance, shall be paid and received in the several descriptions of money herein enumerated, and at the rates of exchange specified, namely, in British gold or silver money, or in such other description of money and at such rate of exchange as may from time to time be determined by the Minister, and according to the standard weights and measures of Ceylon; and in all cases, when such duties are imposed and allowed according to any specific quantity or any specific value, the same shall be deemed to apply in the same proportion to any greater or less quantity or value; and the produce of all duties of customs shall be paid by the Collector into the hands of the Deputy Secretary to the Treasury or the sub-accountants of Ceylon, in such manner and at such periods as may be specified by the Minister.

Return of duty overpaid. Duty short levied to be made good on demand.

18. No duty or other customs dues or charges which shall have been charged and paid, and of which, or of a portion of which, repayment is claimed in consequence of the same having been charged or paid under an erroneous construction of law or from other error, shall be returned, unless such claim is made within twelve months from the date of such payment, and the Collector shall, within the period above specified, repay the duties, dues, or charges so overpaid or paid in error out of moneys received as duties ; and when any duties or other customs dues or charges have been short levied through inadvertence, error, or misconstruction on the part of the officers of customs or when any such duty, due, or charge, after having

been levied, has been, owing to any such cause, erroneously refunded, the persons chargeable with the duty due or charge so short levied or to whom such refund has erroneously been made shall pay the deficiency or repay the amount so erroneously refunded, provided that the same shall be demanded within twelve months from the date of such short levy or refund ; and it shall be lawful for the officers of customs to refuse to pass any goods belonging to such person until the said deficiency or amount erroneously refunded be paid.

Power of Minister to exempt consular officers or clerks of foreign States from payment of customs duties.

[3, 9 of 1949.]

[[2, 8 of 1944.]

19.

(1) The Minister may from time to time, by Order published in the Gazette, exempt the consular officers or clerks of the foreign States named in such Order from payment of customs duty on goods consigned to, or imported or cleared out of bond by or for the use of, such consular officers or clerks.

(2) The Minister may, in his discretion, by such Order-

(a) prescribe the conditions, if any, subject to which the exemption is allowed;

(b) extend such exemption to goods consigned to, or imported by or for the use of, the families and suites of consular officers or clerks;

(c) limit the exemption to consular officers or clerks of any specified country, grade or class, or to articles of any specified description.

(3) The powers conferred on the Minister by the preceding provisions of this section may be exercised in relation to the representative in Ceylon (by whatsoever name, title or designation called) of the Government of any foreign State or to the Trade Commissioner in Ceylon of any such Government, and to persons on the staff of any such representative or Commissioner, in like manner as they are exercisable in relation to consular officers or clerks of foreign States.

Any Order made under the preceding provisions of this section in relation to any such representative, Commissioner or person as aforesaid shall, if so expressed, be deemed to have had effect from such date prior to the making of the Order as may be specified therein.

(4) The Minister may at his discretion, by Order published in the Gazette, withdraw or modify any exemption granted under this section, or vary the conditions subject to which

the exemption is allowed.

(5) Notwithstanding anything in any Order under the preceding provisions of this section, no goods to which such Order applies may be sold or otherwise disposed of, without the prior permission of the Principal Collector of Customs, and unless the duties payable on such goods at the time of such sale or disposal, are paid to the Principal Collector. Any goods sold or disposed of in contravention of the preceding provisions of this subsection shall be liable to be forfeited.

Exemption of certain articles from import duties and export duties.

20. (1) The following articles shall be exempted from payment of import duties and export duties;-

(a) articles of every description imported or cleared from bond or purchased" or procured locally for the use of the President;

(b) articles of every description imported or exported for the public use of the Armed Forces of Ceylon, and all articles sold for the public use of the Armed Forces of Ceylon, though not directly imported for that purpose;

(c) articles, clothing, and materials for clothing imported for the use in athletic sports and games of the Armed Forces of Ceylon;

(d) articles imported, purchased, or procured or exported for the use of any mess or canteen of the Armed Forces of Ceylon.

(2) Any petrol purchased or procured locally for the official or personal use of any of the following persons shall be exempted from the payment of import duties ;-

(a) The diplomatic representative in Ceylon of a foreign State.

(b) The High Commissioner in Ceylon of any member of the Commonwealth.

(c) A representative or officer of the Government of any part of the Commonwealth or of any foreign State, temporarily resident in Ceylon for official purposes, in accordance with any arrangements made with the Government of Ceylon.

(d) A Trade Commissioner in Ceylon for any part of

the Commonwealth or of any foreign State.

(e) A consular representative in Ceylon of a foreign State, if he is a citizen of the country represented and is not, and has not been, otherwise engaged in any business, occupation or profession in Ceylon.

(f) Such member of the staff of any person referred to in any of the foregoing paragraphs as may, for the purposes of this subsection, be specified in a Notification made by the Minister in charge of the subject of Finance and published in the Gazette.

The exemption provided by the preceding provisions of this subsection shall be granted to a person of the class or description specified in those provisions, if and only if, in the State of which he is a subject or citizen or in which he is domiciled, a similar exemption has been granted to persons of a corresponding class or description from Ceylon.

Certificate from naval or military or air force officer required for exemption or payment of rebate.

21. (1) Upon the production of a certificate from such naval, military, or air force officer, or such other person as the Minister may from time to time authorize by notification in the Gazette to issue the same, the Collector of Customs shall pass free from duty the articles hereinbefore exempted, or, in the event of the duty having been paid, he shall, subject to the provisions of subsection (2), allow a rebate of such duty:

Provided that if such articles are not to required for the use for which they were imported or purchased or exported as aforesaid, no such articles may be sold or otherwise disposed of without the prior permission of the Principal Collector and unless the duties payable on such articles at the time of such sale or disposal are paid to the Principal Collector; and any articles sold or disposed of in contravention of the preceding provisions of this proviso shall be liable to be forfeited.

(2) The Collector of Customs shall allow a rebate of the duty paid on any article hereinbefore exempted, upon the production of a certificate relating to that article in accordance with the provisions of subsection (1) and upon proof to his satisfaction of the fact that such article was actually imported, exported, purchased or procured, as the case may be, and of such particulars as he may require in regard to the amount of duty paid and the time and place of

payment of such duty:

Provided that no such rebate shall be allowed in the case of any article unless the certificate relating to that article is produced within twelve months next after the date on which that article was imported, exported, purchased or procured, as the case may be;

Provided further that the Collector of Customs may refuse to allow a rebate of the duty paid on any article if he is satisfied, after such inquiry as he may deem necessary, that a rebate of the duty paid on that article has previously been allowed in accordance with the provisions of this section.

(3) The rebate shall be paid to the person issuing the certificate required by this section out of the duties received by the Collector of Customs, anything in section 18 to the contrary notwithstanding.

(4) The certificate required by this section shall be in such form as the Principal Collector of Customs shall from time to time prescribe.

Drawbacks on re-exportation,

22. (1) Where any goods capable of being easily identified which have been imported from any foreign port, and upon which customs duties have been paid, are re-exported to any foreign port, seven-eighths of such duties may, at the discretion of the Principal Collector of Customs, be repaid as drawback :

Provided that in every such case-

(a) the goods must be identified to the satisfaction of the Principal Collector of Customs;

(b) there has been no change of ownership of the goods;

(c) the re-export must be made within two years from the date of importation as shown by the records of the customs office, unless such period is specially extended by the Principal Collector of Customs;

(d) no drawback will be allowed on goods (other than goods imported through the post by any person for his personal use) on which the import duty paid did not amount to five rupees;

(e) the claim for drawback must be established at the time of re-export, and payment must be demanded within six months from the date of entry for shipment;

(f) when a drawback is allowed on imported goods re-

exported this will be calculated at the rate of duty leviable at the time of export or at the time of import, whichever is the lower.

(2) Save as hereinafter provided, this section shall not apply to goods which have been used after importation.

(3) When articles imported by visitors to Ceylon for their personal use, samples brought by commercial travellers, trade samples, and effects and property of all sorts imported for travelling circuses and theatrical companies on which duties shall have been paid on importation are re-exported to any foreign port, the whole or any part of such duties, at the discretion of the Principal Collector of Customs, and subject to such rules as may be issued by him, may be refunded.

(4) Where composite goods manufactured or prepared in Ceylon, containing as a part or ingredient thereof any article or articles upon which import duty has been paid, are exported, rebate of the whole or part of the import duty paid in respect of such quantity of the article or articles as shall appear to the satisfaction of the Principal Collector to have been used in the manufacture or preparation of the goods may be allowed upon such terms and subject to such conditions as may be prescribed by rules made by the Principal Collector, with the approval of the Minister.

(5) The provisions of this section shall apply only to such composite goods as may from time to time be prescribed by the Minister by Notification to be published in the Gazette.

PART III
PORT DUES

Port dues.

23. (1) Port dues shall be leviable and payable for entry inwards., and for clearance outwards, on all ships arriving at or departing from any port of Ceylon, and upon cargo imported to or exported from Colombo, according to the table of port dues set forth in figures in Schedule C :

Provided that-

(a) when a vessel has paid port dues inwards or outwards she shall not be liable for additional port dues for goods carried coastwise during the same voyage;

(b) a vessel leaving port for a period not exceeding twelve hours for the purpose of trying her machinery or of throwing overboard any damaged cargo shall, for the purposes of this section, be deemed to be in port, and shall be liable on re-entry to pay only the full pilotage dues chargeable in respect of such

vessel as if for a first entry into port;

(c) the period during which such vessel has been out of port shall, for the purpose of reckoning buoy rent, be considered as part of her stay in port;

(d) where a sailing vessel or a vessel not exceeding three hundred tons burthen is compelled by stress of weather to re-enter port within twelve hours of her departure therefrom, no further port dues shall be charged, if the Master Attendant certifies that the vessel could not have proceeded on her voyage without unnecessary risk.

(2) Parliament may from time to time, by means of resolution duly passed at any public session, increase, reduce, abolish, or otherwise alter the port dues leviable and payable under Schedule C* on ships arriving at or departing from any port of Ceylon, and upon cargo imported to or exported from Colombo, or may impose port dues upon such ships in cases where port dues, at the time when such resolution is passed, are not chargeable under the said Schedule: or may add to, rescind, or vary any of the conditions, exceptions, or provisions of the said Schedule with regard to the charge or payment of port dues. Such resolution shall not take effect until it shall have been notified in the Gazette.

Power of Collector to summarily enforce payment of dues, rates, buoy rent, charges, and penalties.

24. If the master, owner, or agent of any vessel in respect of which any dues, rates, buoy rent, charges, or penalties have heretofore become payable, or have been incurred, or shall hereafter become payable or be incurred, whether under this Ordinance, or under any regulations or orders made in pursuance thereof, or under any other enactment or regulations, refuses or neglects to pay them or any part of them on demand, the Collector of Customs of the port may of his own authority distrain or arrest such vessel and the tackle, apparel, and furniture belonging thereto or any part thereof, and detain the same until the amount so due is paid to him. And, in case any part of the said dues, rates, buoy rent, charges, or penalties, or of the costs of the distress or arrestment, or of the keeping of the same remains unpaid for the space of five days next after any such distress or arrestment has been so made, the Collector of Customs may cause the vessel or other thing so distrained or arrested to be sold, and the amount due to the State shall be deemed to be a first charge on the proceeds of such sale. The balance, if any, of the proceeds of the sale, after satisfying the amount due to the State together with all costs, shall be rendered by the Collector of Customs to the master, owner, or agent of such vessel on demand.

Composition for duties

25. Any coastwise ship shall be allowed to compound for port dues for twelve months at the rate of fifty cents per ton of the registered tonnage, and on payment thereof the Collector or other principal officer shall grant a certificate which shall exempt such vessel while so employed from any further demand for port sues

during the period stated in such certificate.

Tonnage of ship how ascertained

26. The tonnage or burthen of every British ship, within the meaning of this Ordinance, shall be the tonnage set forth in the certificate of registry of such ship, and the tonnage or burthen of every other ship shall for the purposes of this Ordinance be ascertained in the same manner as the tonnage of British ship is ascertained 4

PART IV
REGULATIONS INWARDS

No goods to be landed nor bulk broken before report.

27. And whereas it is expedient that the officers of customs should have full cognizance of all ships coming into any port or place in Ceylon, or approaching the coast thereof, and of all goods on board or which may have been on board such ships, and also of all goods unladen from any ships in any port or place in Ceylon:

Times and places of landing, and care of officers. Goods not reported or entered, forfeited. Penalty. Except coin, bullion, cattle, passengers.

It is enacted that no goods shall be unladen from any ship arriving from parts beyond the seas at any port or place in Ceylon, nor shall bulk be broken after the arrival of such ship within one league of the coast thereof, before due report of such ship and sufferance granted, in manner hereinafter directed ; and that no goods shall be so unladen except at such times and places and in such manner and by such persons and under the care of such officers as hereinafter directed ; and that all goods not duly reported,

Goods not reported or entered, forfeited. Penalty.

or which shall be unladen contrary hereto, shall be forfeited ; and if bulk be broken contrary hereto the master of such ship shall forfeit a sum not exceeding one thousand rupees ; and if after the arrival of any ship within one league of the coasts of Ceylon any alteration be made in the stowage of the cargo of such ships so as to facilitate the unlading of any part of such cargo, or if any part be staved, destroyed, or thrown overboard, or any package be opened, such ship shall be deemed to have broken bulk:

Except coin, bullion, cattle, passengers.

Provided always that coin, bullion, cattle, and other livestock, and passengers with their baggage, may be landed previous to report, entry or sufferance.

Ship and cargo to be reported within twenty-four hours of arrival of ship. Particulars of report.

28. The master of every ship arriving at any port or place in Ceylon, whether laden or in ballast, shall come within twenty-four hours after such arrival, and before bulk be broken, to the custom-house, and there make a report in writing, and such report shall be in duplicate, and shall make and subscribe a declaration to the truth of the same before the Collector or other officer of customs of the arrival and voyage of such ship, stating the name, country, and tonnage, and if British, the port of registry, the name and country of master, the country of the owners, the number of the crew, and how many are of the country of such ship, the number of passengers, if any, and whether such ship be

laden or in ballast, and if laden, the marks, numbers, and contents of every package or parcel of goods on board, and the particulars of such goods as are stowed loose, and where any such goods were laden, and where and to whom consigned, and where and what goods, if any, had been unladen during the voyage, and what part of the cargo, if any, is intended for" exportation in such ship to parts beyond the seas, and what stores or stock remain on board such ship, as far as any of such particulars can be known to him ; and further, the master shall answer all such questions concerning the ship and the cargo, and the crew and the voyage, as shall be demanded of him by such officer ; and if any goods shall be unladen from any ship before such report be made, or if the master shall fail to make such report, or if after such report any package shall have been opened, or if he shall make an untrue report, or shall not truly answer the questions demanded of him, he shall be liable to a penalty not exceeding one thousand rupees.

Master to deliver manifest, and, if required, bill of lading, or copy. Penalty on failure.

29. The master of every ship shall, at the time of making such report, deliver to the Collector the manifest of the cargo of such ship, when a manifest is required, and, if required by the Collector, shall produce to him any bill or bills of lading, or a true copy thereof, for any and every part of the cargo laden on board ; and in case of failure or refusal to produce such manifest or to produce such bill of lading or copy, or if such manifest or bill of lading or copy shall be false, or if any bill of lading be uttered or produced by any master, and the goods expressed therein shall not have been bona fide shipped on board such ship, or if any bill of lading uttered or produced by any master shall not have been signed by him or other duly authorized person, or any such copy shall not have been received or made by him previously to his leaving the place where the goods expressed in such bill of lading or copy were shipped, then in every such case such master shall be liable to forfeit a sum not exceeding one thousand rupees..

Officers to board ships. To have free access to all parts. May seal or secure goods and open locks. Goods concealed forfeited. If seal, &c, broken, master to forfeit one thousand rupees.

30. Officers of the customs may board any ship arriving at any port in Ceylon, and freely stay on board until all the goods laden therein shall have been duly delivered from the same, and such officers shall have free access to every part of the ship, with power to fasten down hatchways, and to mark any goods before landing, and to lock up, seal, mark, or otherwise secure any goods on board such ship ; and if any place or any box or chest be locked and the keys be withheld, such officers, if they be of a degree superior to tidewaiters or boatmen, may open any such place, box, or chest in the best manner in their power, and if they be tidewaiters, or boatmen, or only of that degree, they shall send for their superior officer who may open or cause to be opened any such place, box, or chest in the best manner in his power ; and if any goods be found concealed on board

any such ship they shall be forfeited ; and if the officers shall place any lock, mark, or seal upon any goods on board, and such lock, mark, or seal be wilfully opened, altered, or broken before the delivery of such goods, or if any of such goods be secretly conveyed away, or if the hatchways after being fastened down by the officer be opened, the master of such ship shall be liable to forfeit a sum not exceeding one thousand rupees.

Officers may be stationed in ships with in the limits of any port.

31. Officers of the customs may be stationed on board any ship while within the limits of any port or place in Ceylon, and the master of every ship on board of which any officer is so stationed shall provide every such officer with suitable shelter and accommodation while on board, and in case of neglect or refusal so to do shall be liable to forfeit a sum not exceeding two hundred rupees.

Penalty on master not having clearance and if cargo do not correspond. with ship's papers, or if goods sent out of vessels be net landed at the appointed places.

[4, 8 of 1944.]

[[4, 8 of 1944]

32. If any ship shall arrive at any port in Ceylon without a clearance or other paper which it is usual to grant at the place or places from which such ship shall have come, the master shall be liable to a penalty not exceeding five hundred rupees, or if any goods entered on any clearance, or other paper granted at the place from which any ship shall have come, shall not be found on board such ship, or if the quantity found be short, and the deficiency be not duly accounted for, or if goods sent out of the ship be not landed at the appointed places, the master shall, in respect of any goods which are missing or deficient and not accounted for, be liable, if such goods are chargeable with duty, and if such duty can be ascertained, to a penalty not exceeding twice the amount of the duty chargeable thereon, or if such duty cannot be ascertained or if such goods are not chargeable with duty, to a penalty not exceeding two hundred rupees for each missing or deficient package, and the Collector is authorized to require the payment of such penalty, and to decline the granting of a clearance outwards to the master of any vessel so liable, and refusing to pay such penalty :

Provided always that nothing herein contained shall be construed to prevent the Collector from accepting explanation in the absence of clearance, or from permitting at his discretion the master of any ship to amend obvious errors, or to supply omissions from accidents or inadvertence, by furnishing an amended report.

Goods unshipped from the importing vessel, or landed contrary to the regulations of the Collector, forfeited. Penalty on persons concerned.

33. No goods shall be unshipped or carried from the importing ship to any wharf or other place, except under such rules, regulations, and restrictions as the Collector may from time to time direct and appoint; and all goods unshipped or carried contrary to such rules, regulations, and restrictions, or any of them, shall be forfeited, together with the boat or other means

used for the conveyance of such goods ; and every person knowingly concerned in the unshipping or carrying of such goods, or into whose hands and possession such goods shall knowingly come, contrary to such rules, regulations, and restrictions, shall forfeit and pay a sum not exceeding two thousand rupees, or treble the value of such goods, at the election of the said Collector.

Provision with respect to unlading goods, depositing and removing of the same from the Queen's warehouse, and penalties for failure to remove within prescribed time.

34. (1) No goods shall be unladen from any ship until a sufferance shall have been granted by the Collector for the landing of the same, and no goods shall be landed except at the place appointed and expressed in such sufferance ; and all goods so landed shall be taken and deposited in the Queen's warehouse, and within three clear days from the date of landing the importer shall make a full and complete entry thereof as hereinafter provided, and shall either pay down all duties which shall be due and payable on such goods, or shall duly warehouse the said goods, or, if the goods be free of duty, shall so enter the same; and in default of such entry being made and the said goods being removed within three clear days as aforesaid, such goods shall be liable to double rent for every period of twenty-four hours during such time as they may remain in the warehouse; and all goods unladen, landed, or removed without such sufferance, or contrary to the directions in such sufferance, shall be forfeited.

(2) In computing the said period of three clear days, Sundays and public holidays shall not be taken into account ; but, in ascertaining the period for which any goods are liable to double rent, account shall be taken of Sundays and public holidays, and a fractional part . of a period of twenty-four hours shall count as a full period of twenty-four hours.

* Application modified in the port of Colombo.- See section 16 of the Port of Colombo (Administration) Act.

No goods to be unladen except during the legal hours and days of business.

[5, 8 of 1944.]

35. The master of any ship from which goods or cargo shall be unladen outside such hours as the Principal Collector with the sanction of the Minister [1] may from time to time prescribe, or on any day when the custom-house is closed for business, without permission from the Collector, shall be liable to a fine not exceeding five hundred rupees, and the boat and other means used for the conveyance of such goods shall be

liable to be forfeited.

Cargo in ships of 150 tons to be landed within ten days, and exceeding 150 tons within twenty-five days after arrival of such ship. In default Collector may land and convey goods to warehouse of the Republic. Duties, &c, to be paid within one month, or goods to be sold.

36. Except in special cases sanctioned by the Collector of Customs, ten days, exclusive of public holidays, shall be allowed for the discharge of the import cargoes of vessels not exceeding 150 tons burthen; and twenty-five days for vessels exceeding that burthen ; and the said period shall be calculated from the date on which the vessel was admitted to entry and sufferance granted ; and if any goods remain on board after the periods above fixed the Collector may order such goods to be at once landed, and in case of neglect of such directions or of unnecessary delay or other unwarranted cause the Collector may authorize the landing of the cargo and its conveyance to the warehouse of the Republic; and if the duties, warehouse rent, and charges of landing and freight due upon any goods so landed shall not be paid within one month after such landing, the same shall be sold and the produce thereof applied, first to the payment of freight and landing charges, next of duties and warehouse rent, and the overplus, if any, shall be paid to the owner of the goods, if claimed within twelve months from the date of such sale, otherwise such surplus shall be brought to account as revenue :

Provided that it shall be lawful for the Collector to have any small package or parcel of goods landed and conveyed to the warehouse of the Republic out of any ship whatever, although the periods above specified shall not have expired.

Transhipment of goods by mail steamers may take place without entry or bond.

37. No transhipment of any goods shall be made except by the special order of the Collector or other proper officer, and after due entry of the goods, nor until an officer of the customs shall be deputed, at the expense of the party desiring this privilege, to superintend the removal of the goods from vessel to vessel; and if any goods are transhipped, or attempted to be removed from one vessel to another, without special authority required as aforesaid, such goods, together with the boat and other means used for conveying the same, may be seized and shall be liable to confiscation; but goods in transit by mail steamers and declared to be so by the master at the time of report may be transhipped without entry or bond, under superintendence of the proper officers and at the expense of the parties concerned.(*Application modified by section 86 (2) of the Ceylon Ports Authority Act.)

Boat-notes to accompany goods unladen from any

38. With all goods unladen from any ship there shall be sent with each boat load a boat-note, specifying the number or packages and the marks and numbers or other description thereof, and such boat-note shall be furnished

ship & c.

and signed by an officer of the ship, and if there be a customhouse officer on board the boat-notes shall be signed by such officer also ; and the tindal and owner of the boat into which the goods have been laden shall be held responsible for the due landing and delivery at the custom-house of all the goods so laden and specified in the boat-note, and shall be liable to treble the duties due on any deficiency; and if any goods be found in a boat without a boat-note, as above provided for, or in excess of the quantity specified in the boat-note, or if the boat be found deviating from the proper course to the proper place of landing, the boat containing such goods may be detained by any officer of the customs, and unless the cause of deviation or excess be explained to the satisfaction of the Collector, such boat and such goods shall be liable to forfeiture.

The owner of each such boat shall provide the Collector within such period as may be specified in that behalf by the Collector a statement setting out the quantity and description of the goods so laden, the person to whom and the place at which he has delivered those goods, and such other particulars as the Collector may, by written order issued to him not less than seven days before the expiration of the aforesaid period, require him to furnish. Any such owner who fails to provide such statement within such period shall be liable to a penalty of two thousand rupees.

Ship's stores.

39. The stores of every ship shall be subject to the same duties and the same prohibitions, restrictions, regulations, fines, and penalties, as goods and merchandise on importation, and may in like manner be entered for payment of proper duties or to be warehoused.

Goods to be landed and examined at the expense of importer.

40. The unshipping, carrying, and landing of all goods, and the bringing of the same to the proper place for examination or for weighing, and the putting of the same into and out of the scales, and the measuring, counting, unpacking, and repacking, and the opening and closing of the same, and removing to and placing them in the proper place of deposit shall be performed by and at the expense and risk of the importer, consignee, or agent.

Goods in warehouse must be properly stowed and re-piled.

41. All goods placed in the warehouse of the Republic or other warehouses by any person shall be stowed by such person so as to afford easy access thereto, and in such parts or divisions of the warehouse and in such manner as the Collector shall direct; and if the stowage be broken the goods shall be re-piled by the person breaking such stowage, in such manner as the Collector may require.(*Application modified by section 86 (2) of the Ceylon Ports Authority Act. Schedule omitted-See List of Enactments omitted from the Revised Edition.)

Penalty for neglect or refusal.

42. If any person placing such goods or breaking the stowage shall neglect or refuse to stow or re-pile them as hereinbefore directed, he shall for such neglect or refusal be guilty of an offence, and be liable to a fine not exceeding one hundred rupees :

Expenses to be

Provided that it shall be lawful for the person so offending to avoid prosecution for the offence by tendering double the sum incurred in properly stowing or re-piling the goods;

and if such sum be duly tendered before the institution of the prosecution, no further proceedings shall be had against such person for the offence aforesaid.

In case of prosecution, the Magistrate shall paid to direct so much to the tine as shall be Collector sufficient to cover the expense of properly stowing and re-piling the goods to be paid to the Collector. (* Application modified by section 86 (2) of the Ceylon Ports Authority Act. Schedule omitted-See List of Enactments omitted from the Revised Edition.)

Prohibitions and restrictions.

43. If any goods enumerated in the table of prohibitions and restrictions in Schedule B shall be imported or brought into Ceylon contrary to the prohibitions and restrictions contained in such table in respect thereof, such goods shall be forfeited, and shall be destroyed or disposed of as the Principal Collector of Customs may direct :

Provided that if any dangerous substance be imported or brought into Ceylon without the licence of the Minister, [1] or contrary to any of the regulations which may be made from time to time by the Minister, [1] for the safe landing and deposit of such substance, the person importing or bringing the same to Ceylon, and any person concerned in such importation or bringing of the same, shall, in addition to the forfeiture above provided, be guilty of an offence and be liable to a fine not exceeding one thousand rupees.

Goods exported contrary to the prohibitions and restrictions in Schedule B to be forfeited.

44. If any person exports or attempts to export or take out of Ceylon any goods enumerated in the table of prohibitions and restrictions in Schedule B, in contravention of the prohibitions and restrictions contained in such table in respect thereof, such goods shall be forfeited, and shall be destroyed or disposed of as the Principal Collector of Customs may direct.

Articles consigned to any officer of a public department for the use of the State free of duty.

45.

(1) All articles-

(a) consigned to any officer of a public department in Ceylon and being the property of the State; or

(b) consigned to any person for the purpose of being delivered to any officer of a public department for the use or service of the State ; or

(c) purchased out of bond by any officer of a public department for the use or service of the State,

shall be passed duty free on any such public officer delivering to the Collector a list of the articles and certifying at the foot thereof that such articles are the property of the State or have been consigned to some person named in the certificate for the use or service of the State, or have been purchased out of bond for the use or

service of the State.

(2) All such articles passed duty free as aforesaid shall, in case of the sale thereof, be liable to and be charged with such and the same duties of customs as may by law be payable or charged on the like articles not exempted from duties of customs under this section, and the officer of the public department in whose charge such goods may be shall furnish the Collector with the particulars of the sale thereof, and out of the proceeds of the same pay to the said Collector the duties which may be due thereon:

Provided that the preceding provisions of this subsection shall not apply in the case of the sale of any salt passed duty free as aforesaid on or after the 1st day of September, 1944.

Abatement of duty on damaged goods.

[7, 8 of 1944.]

46. (1) Where any goods imported into Ceylon have sustained damage, the Principal Collector of Customs may, upon claim made in that behalf and upon proof to his satisfaction that such damage was sustained after the goods had been shipped in the importing ship and before the goods had been landed in Ceylon, make an abatement of the whole or any part of the duty chargeable thereon, as he may in his discretion determine.

(2) Every claim under subsection (1) for the abatement of duty shall be made by the importer or consignee of the goods in such form and in such manner as the Principal Collector may prescribe.

(3) If the importer or consignee of the goods is not satisfied with the abatement made by the Principal Collector, the Principal Collector may call upon two impartial merchants or representatives of insurance companies to examine the goods and report to what extent in their judgment the goods are lessened in value by the damage they have sustained, and may, in his discretion, having regard to such report, vary the original abatement.

(4) Where an abatement of the whole duty originally chargeable on any goods is made under subsection (1), or where any damaged goods are abandoned by the importer or consignee thereof, the Principal Collector may in his discretion take those goods for the use of the State, or order that those goods be destroyed or removed from the customs premises under the supervision of an officer of customs and at the expense of the importer or consignee of the goods.

(5) Where the importer or consignee of any goods fails to pay any sum incurred under subsection (4) in the destruction or removal of

such goods, it shall be lawful for the officers of customs to refuse to pass any other goods belonging to such importer or consignee until such sum is paid ;

Provided that nothing in the preceding provisions of this subsection shall be deemed to prohibit the recovery of such sum from such importer or consignee as a debt due to the State.

Importer to deliver bill of entry.

[10, 29 of 1952.]

[[10, 29 of 1952]

[[10, 29 of 1952.]

47. The person entering any goods inwards, whether for payment of duty or to be warehoused, or for payment of duty upon the taking out of the warehouse, or whether such goods be free of duty, shall deliver to the Collector a bill of entry of such goods, on a form of such size and colour as may be specified in that behalf by the Collector by notification published in the Gazette, and fairly written in words at length, expressing the name of the ship, and of the master of the ship in which the goods were imported, and of the place from which they were brought, and the description and situation of the warehouse, if they are to be warehoused, and the name of the person in whose name the goods are to be entered, and the quantity, value, and description of the goods, and the number, dimensions, and denomination or description of the respective packages containing the goods, and such other particulars as the Collector by that or a subsequent notification may require him to furnish, and in the margin of such bill shall delineate the respective marks and numbers of such packages. If such person fails to deliver a bill of entry prepared as aforesaid, he shall be liable to a penalty of fifty rupees. Such person shall pay any duties and dues which may be payable upon the goods mentioned in such entry; and such person shall also deliver at the same time two or more duplicates of such bill, in which bill all sums and numbers may be expressed in figures, and the particulars to be contained in such bill shall be legibly written and arranged in such form and manner, and the number of such duplicates shall be such as the Collector shall require, and such bill of entry when signed by the Collector, or person authorized by him, and transmitted to the proper officer, shall be the warrant to him for the examination and delivery of such goods ; but if such goods shall not agree with the particulars in the bill of entry the same shall be forfeited, and such forfeiture shall include all other goods which shall be entered or packed with them as well as the packages in which they are contained.

Delivery of goods prior to entry.

48. Notwithstanding anything contained in section 47, it shall be lawful for the Collector, on application made and subject to such regulations as the Principal Collector of Customs may from time to time issue, to allow the delivery of goods with or without examination, prior to the presentation of the bill of entry ; Provided that-

(a) any misdescription or under-valuation appearing in the application shall render the importer liable to the penalties imposed by this Ordinance for misdescription or undervaluation in the bill of entry ;

(b) such delivery shall not in any way be construed as a waiver of the Collector’s right to order forfeiture of the goods for any breach of this Ordinance committed in respect to such goods by the importer thereof, or relieve such importer from any penalty or liability to

which he would have been subject had delivery been claimed on the presentation of the bill of entry;

(c) if any sum of money imposed as a penalty be not duly paid, it shall be lawful for the officers of customs to refuse to pass any other goods imported by that importer until the said sum of money is paid.

Entry by bill of sight. Perfect entry to be made within three days. In default goods to be sold after one month.

49. The importer of any goods, or his agent, if unable, for want of full information, to make perfect entry of such goods, may on making and subscribing a declaration to that effect before the Collector, or other proper officer of customs, make an entry by bill of sight for the packages or parcels of such goods, in order that the same may be seen and examined by the proper officer, and within three days after the goods shall have been so examined the importer shall make a perfect entry thereof, either for payment of duty or for warehousing, as the case may be; but if the importer shall neglect to pass such perfect entry within one month after the date of the examination, such goods shall be sold for the payment of duties, warehouse rent, and other charges due thereon, and the overplus, if any, shall be paid to the proprietor of the goods.

Entry to agree with manifest &c. Goods not duly entered forfeited.

50. No entry nor any warrant for the delivery of any goods, or for the taking of any goods out of any warehouse, shall be valid unless the particulars of the goods and packages in such entry shall correspond with the particulars of the goods and packages purporting to be the same in the report of the ship, and in the manifest, where a manifest is required, and in the certificate or document, where any is required, by which the importation or entry of such goods is authorized, nor unless the goods shall have been properly described in such entry by the denominations, and with the characters and circumstances according to which such goods are charged with duty, or may be imported, either to be used in Ceylon, or to be warehoused for exportation only; and any goods taken or delivered out of any ship, or out of any warehouse, or for the delivery of which, or for any order for the delivery of which, from any warehouse, demand shall have been made, not having been duly entered, shall be forfeited.

Goods ad valorem.Declaration of value.

51. In all cases when the duties imposed upon the importation of articles are charged, not according to the weight, tale, gauge, or measure, but according to the value thereof, the respective value of each of such articles shall be stated in the entry, together with the description and quantity of the same, and such respective value shall be affirmed by the declaration of the importer of such articles, or his known agent, in manner and form following, that is to say:-

Form of declaration.

I, A. B., (place of abode), do hereby declare that I am (the importer, or authorized by the importer) of the goods contained in this entry, and that I enter the same (slating which, if parts only) at the respective sum or value mentioned opposite to the said articles, and amounting together to the sum of Rs Witness my hand the day

of A.B.

Goods undervalued to be detained, and sold for the benefit of the Crown.

52. If upon examination of the goods so entered it shall appear to the officers of the customs that the same are not valued according to the true wholesale market value thereof, it shall be lawful for such officers to detain such goods, and within two days from the day on which such goods shall be finally examined for duty by the proper officers to take such goods for the use of the Crown ; and the Collector shall, from the daily collection of the port, or by an advance from the Treasury, cause the amount of such valuation, together with the duties paid upon such goods, to be paid to the importer or proprietor of such goods in full satisfaction for the same, and shall dispose of such goods for the benefit of the Crown, and if the produce of such sale shall exceed the sums so paid and all charges incurred by the Crown, one moiety of such surplus shall be paid to a separate fund at the disposal of the Minister, [1] and be distributed by him at such periods and in such proportions to or amongst such meritorious officers as the Principal Collector shall submit as most deserving, and the other moiety shall be accounted for, paid and carried to account as duties of customs.

PART V
ENTRY OF GOODS REIMPORTED

Entry of reimported, goods by bill of stores.

53. All goods, the produce or manufacture of Ceylon, shall reimported be deemed and taken to be, and be entered as foreign produce or manufacture, and shall be liable to the same duties, rules, regulations, and restrictions as such goods of foreign produce and manufacture would be liable to on importation thereof, unless the same shall be reimported within two years after the exportation thereof, and unless it be proved to the satisfaction of the proper officers that the property in such goods has continued and still remains in the person by whom or on whose account the same have been exported, in which case the same may be entered as goods, the produce or manufacture of Ceylon, by bill of store containing such particulars, and in such form and manner as the Collector may direct.

Bill of store may be issued by the proper officer. Agent to declare name of employer Consignee to declare who is Proprietor. Proprietor to declare to identity and property unchanged. The entry bill of store to be granted.

54. The person in whose name any goods reimported were entered for exportation shall deliver to the proper officer of customs an exact account signed by him of the particulars of such goods referring to the entry and clearance outwards, and to the return inwards of the same, with the marks and numbers of the packages, both inwards and outwards; and thereupon the officer finding that such goods had been legally exported shall grant a bill of store for the same; and if the person in whose name such goods were entered for exportation was not the proprietor thereof, but his agent, he shall declare in such bill of store the name of the person by whom he was employed as such agent; and if the person to whom

such returned goods are consigned shall not be such proprietor and exporter, he shall make and subscribe a declaration in such bill of store of the name of the person for whose use such goods have been consigned to him, and the real proprietor ascertained to be such shall make and subscribe a declaration upon such bill of store to the identity of the goods so exported and so returned, and that he was at the time of exportation and of reimportation the proprietor of such goods, and that the same had not during such time been sold or disposed of to any other person, and such declaration shall be made before the Collector, and thereupon the by Collector shall admit such goods to entry by bill of store, and grant his warrant accordingly.

PART VI
REMOVAL OF GOODS BY SEA OR INLAND CARRIAGE

Goods may be removed by land, or from one sea port to another in Ceylon.

55. Goods may be removed or carried from one port of Ceylon to any other port there in by sea or inland carriage previous to payment of duties, on the owner or his agent duly entering the same, and giving bond to the satisfaction of the Collector for the due delivery thereof at the custom-house of the port to which such goods are to be removed ; and if the seals of office attached to such packages be broken, or if the contents shall not be found to agree with the particulars of entry and advice from the port of removal, such packages, with their contents, shall be forfeited, and the bond given for the safe and due delivery of the goods enforced. The Minister may from time to time direct and appoint rules, regulations, and restrictions in respect of the said removal of goods, and all goods carried or removed contrary thereto shall be forfeited.

PART VII
REGULATIONS OUTWARDS

ship to be entered and goods cleared before shipment.

56. And whereas it is expedient that the officers of customs should have full cognizance of all ships departing from any port or place in Ceylon and of all goods taken out of Ceylon; it is enacted that the master of every ship shall, before any goods be laden therein, deliver to the Collector a certificate from the proper officer of the due landing of the inward cargo of such ship, of her last voyage, and also an entry outwards under his hand, stating her name, country, and tonnage, the port of registry, the name of the master and of the owners, and the number of the crew and passengers, and the destination of such ship. If any goods be laden on board any ship before such entry be made, the master of such ship shall forfeit a sum not exceeding one thousand rupees.

Exporter to deliver bill of entry.

57. The person exporting any goods whether liable to the payment of duty or free of duty shall deliver to the Collector a bill of entry of such goods, on a form of such size and colour as may be specified in that behalf by the Collector by notification published in the Gazette, and fairly written in words at length expressing the name of the ship in which the goods are to be exported and of the

port to which they are to be taken, and containing an accurate specification of the quantity, quality, and value of such goods, and the number, denomination, dimensions, and description of the respective packages containing the goods and such other particulars as the Collector by that or a subsequent notification may require him to furnish, and in the margin of such bill of entry shall delineate the respective marks and numbers of such packages.

If such person fails to deliver a bill of entry prepared as aforesaid, he shall be liable to a penalty of one hundred rupees. Such person shall pay any duties and dues which may be payable on the goods mentioned in such entry, and such person shall also deliver at the same time two or more duplicates of such bill in which all sums and numbers shall be expressed in figures, and the particulars to be contained in such bill shall be legibly written and arranged in such form and manner and the number of such duplicates shall be such as the Collector shall require, and such bill of entry when signed by the Collector or person authorized by him and transmitted to the proper officer shall be the warrant to him for the examination of and delivery for shipment of such goods, and if such goods shall not agree with the particulars in the bill of entry, or if such goods are removed from the warehouse or other place appointed for shipment before such entry is passed and all duties and dues paid, and in the absence of any explanation to the satisfaction of the Collector the same shall be forfeited, and such forfeiture shall include all other goods which shall be entered or packed with them as well as the packages in which they are contained.

Exportation prior to the presentation of the bill of entry

58. Notwithstanding anything contained in section 57, it shall be lawful for the Collector, on application made in that behalf by an exporter of goods and subject to such conditions as may be imposed by the Principal Collector and notified in the Gazette, to permit the exportation of such goods prior to the presentation of the bill of entry for such goods:

Provided that-

(a) any misdescription or under-valuation appearing in the application shall render the exporter liable to the penalties imposed by this Ordinance for misdescription or undervaluation in the bill of entry;

(b) such permission to export shall not in any way be construed as a waiver of the Collector's right to order forfeiture of the goods, if the goods have not already been shipped out of Ceylon, for any breach of this Ordinance committed in respect of the goods by the exporter, or shall not relieve the exporter from any penalty or liability to which he would have been subject had the goods been exported after the presentation of the bill of entry; and

(c) if any sum of money imposed as a penalty be not duty paid, it shall be lawful for the officers of customs to refuse to pass any other goods brought for exportation by the exporter until the said sum of money is paid.

Boat-notes to accompany goods laden for export.

59. No goods shall be laden, put off, or waterborne to be shipped for exportation or coastwise, or shipped on board any ship, boat, or lighter, outside such hours as the Principal Collector with the sanction of the Minister may, from time to time, prescribe, or on any day when the custom-house is closed for business, without permission from the Collector, nor from any place except some legal quay or other place duly appointed by the Collector,

nor without the presence or authority of the proper officer of customs, nor before due entry outwards of the vessel on which the goods are to be shipped, nor before such goods shall have been duly entered and duly cleared for shipment by such officer, who may open all packages and fully examine all goods brought and intended for shipment; and all goods laden, put off, or water-borne, in any ship, boat, or lighter shall be accompanied by a boat-note signed by the locker or other officer of customs and specifying the number of packages and the marks and numbers and other descriptions of the goods, and all goods shut out for any reason shall be immediately reconveyed to the place of lading; and the Collector shall have power, with the approval of the Minister, to make regulations from time to time relating to the shipping of goods and to the re-landing of shut-out cargo, and all goods which are laden, put off, water-borne, or shipped contrary to the provisions of this section or of any regulations made hereunder, or which are found in a boat without a boat-note, or in excess of the quantity specified in the boat-note, or in excess of the quantity shut out, or which are shipped on board any vessel not duly entered outwards may be re-landed by the proper officer of customs, and, in the absence of any explanation to the satisfaction of the Collector, shall be forfeited together with the means of conveyance.

Every person knowingly concerned in the lading, putting off or carrying of such goods, or into whose hands and possession such goods shall knowingly come, contrary to the provisions of this section or of any such regulation, shall forfeit and pay a sum not exceeding two thousand rupees, or treble the value of such goods, at the election of the Collector.

Stiffening order

60. When it shall become necessary to lade heavy goods on board any ship before the whole of the inward cargo is discharged, the Collector may, previous to the entry outwards of the ship, issue a stiffening order, sanctioning the shipment of the goods. (* Application modified by section 86 (2) of the Ceylon Ports Authority Act.)

Stores.

61. On due requisition by the master the Collector may allow for the use of such ship such stores as may appear necessary according to the voyage upon which she is about to depart, but no articles taken on board any ship shall be deemed to be stores unless duly shipped as such by entry or by permit of the Collector or other proper officer.

Collector may grant general sufferance for the shipping of goods.

62. * On the entry outwards of any ship the Collector shall grant a general sufferance for the shipment and lading of any sort of goods, the produce or manufacture of Ceylon, except such as shall be expressly excepted therein :

Subsequent entry and penalty on failure.

Provided always that before the clearing outwards of such ship, the exporter of any goods on board the same shall deliver to the Collector an entry, containing an accurate specification of the quantity, quality, and value of such goods ; and if such declaration be false, or if he fails to make such entry before the content of the ship is delivered in by the master, he shall forfeit a sum not exceeding two hundred rupees; and the Collector may refuse to certify such shipment on the clearance of such ship.

Master to deliver content, answer questions, and produce bills of lading. Certificate of clearance.

63. Before any ship, whether laden or in ballast, shall be cleared outwards at any port in Ceylon, the master shall deliver a content of such ship, setting forth the name and tonnage of such ship and the place or places of her destination, and the name of the master, the number of passengers, also, if laden, an account of the goods shipped on board, and of the packages containing such goods, and of the marks and numbers upon such packages, and a like account of the goods on board, if any, which had been reported inwards for exportation in such ship, so far as any of such particulars can be known by him, and the master of the ship shall furnish such content in duplicate, and shall make and sign a declaration before the Collector to the truth of such content, and shall also answer such questions concerning the ship, the cargo and the intended voyage, as the Collector shall demand of him, and, if required by the Collector, shall produce to him any bill or bills of lading, or a true copy thereof, for any and every part of the cargo laden on board, and thereupon the Collector or other proper officer shall make out and give to the master a certificate of the clearance of such ship for her intended voyage, containing an account of the total quantities of the several sorts of goods laden therein, or a certificate of her clearance in ballast, as the case may be ; and if the ship shall depart without such clearance, or if the master shall deliver a false content, he shall forfeit a sum not exceeding one thousand rupees.

* Application modified in the port of Colombo. – See section 16 of the Port of Colombo (Administration) Act.

Officers may board vessels after clearance.

64. It shall be lawful for the officers of the customs to go on board any ship before and after clearance outwards within the limits of any port in Ceylon, or within two leagues of the coast thereof, and to demand the certificate of clearance and the victualling bill, and if there be any goods on board subject to duty and not duly entered outwards, such goods shall be re-landed and forfeited ; and if any goods contained in such clearance or victualling bill be not on board, the master shall forfeit a sum not exceeding two hundred rupees for every package or parcel of goods contained in such clearance or victualling bill and not on board.

PART VIII

TRADE BY VESSELS OF LESS THAN 15 TONS BURTHEN

No goods to be imported or exported in vessel of less than 15 tons

65. No goods shall be imported into exported from Ceylon from or to parts beyond the seas in any ship of less burthen than fifteen tons, and any goods so imported or exported shall be forfeited :

unless allowed by Order of the Ministers.

Provided that it shall be lawful for the Minister, by any Order to be by him issued and published in the Gazette, to allow ships or boats under fifteen tons burthen to import or export any goods from or to parts beyond the seas, at such ports or places, and during such periods or times and in such manner as may be deemed expedient, upon any pearl fishery or other occasion appearing to require

the same.

PART IX
REGULATIONS COASTWISE

Coastwise trade.

66. All ships conveying goods coastwise, and all goods imported or exported coastwise, shall be liable to the like cognizance of the customs, and be subject to the same prohibitions, restrictions, regulations, fines, forfeitures, and penalties as goods imported from or exported to parts beyond the seas, and it shall be lawful for the Minister to make and appoint such other regulations, by any Order to be by him issued and published in the Gazette, for the carrying coastwise of any goods, as to him shall appear expedient, and such Order shall have the same effect in law as if it had formed part of this Ordinance,

What goods shall be carried coastwise.

67. No goods shall be carried in any coasting ship except such as shall be laden to be so carried at some port or place in Ceylon, and if any goods shall be taken into or put out of any coasting ship at sea, or over the sea, or if any coasting ship shall touch at any place over the sea, or deviate from her voyage, unless forced by unavoidable circumstances, or if the master of any coasting ship which shall have touched at any place over the seas shall not declare the same in writing under his hand to the Collector at the port in Ceylon where such ship shall afterwards first arrive, the master of such ship shall be liable to forfeit a sum not exceeding one thousand rupees.

PART X
REGULATION OF MOVEMENTS, &c., OF SHIPS UNDER 250 TONS TONNAGE

Regulation of movements, &c:., of ships under 250 tons tonnage.

[5, 9 of 1949.]

68.

(1) The Minister of Finance may make any-such regulations as may appear to him expedient for the purpose of enabling the officers of customs to have full cognizance of the movements, to or from any port or place in Ceylon, of ships not exceeding 250 tons tonnage, and generally for the purpose of the prevention of the smuggling of goods into or from Ceylon or of the importation or exportation of goods contrary to any such prohibitions or restrictions as may be applicable by virtue of any other written law.

(2) Without prejudice to the generality of the powers conferred by subsection (1), regulations made under that subsection may provide for all or any of the following matters : –

(a) the registration by the Collector of Customs of ships ordinarily based or stationed at any port or place in Ceylon, and the prohibition of the use of ships or of the making of voyages or the conveyance of goods by ships which are not duly registered ;

(b) the limits within which ships may be used or

make voyage, the places at which they may be stationed or anchored, the mode of navigation thereof, the purposes for which and the manner in which they may be employed, and the marking of ships with their names or with numbers assigned to them by the Collector ;

(c) the prohibition of the employment or engagement on ships, whether as master or member of the crew, of any person who has at any time been convicted of any offence mentioned in section 129 or section 130 or any other specified section of this Ordinance ;

(d) the issue of licences by the Collector of Customs exempting ships from the operation of any regulation made in respect of any matter referred to in the preceding paragraph (b), and the circumstances in which, and the conditions and restrictions subject to which, such licence; may be issued.

(3) Any regulation made under the preceding pro visions of this section may be limited in its application to ships of any specified tonnage, build or description or to ships ordinarily based at or departing from or arriving at, any port or place in any specified area in Ceylon; and any such regulation may provide different

requirements in respect of ships of different tonnage, build or description or ordinarily based or stationed at ports or places in different areas.

(4) Every regulation made by the Minister under the preceding provisions of this section shall be brought before the Senate and the House of Representatives for approval, and if so approved shall come into force on the date of its publication in the Gazette or on such later date as may be specified in such regulation.

[14, 29 of 1952.] (5) Every ship which is used or employed or makes voyage in any manner contrary to any regulation made under the preceding provisions of this section which may be applicable to such ship, and any goods which are unlawfully carried therein or any goods which having been unlawfully carried therein are jettisoned therefrom, shall be liable to forfeiture.

(6) Any person who knowingly or wilfully contravenes or fails to comply with any provision of any regulation made under the preceding provisions of this section shall be liable to a penalty

not exceeding one thousand rupees.

PART XI
WAREHOUSING OF GOODS

Power to appoint warehousing ports. Appointment of warehouses.

69. The Minister may, by Order from time to time, appoint the ports in Ceylon which shall be warehousing ports for the purposes of this Ordinance, and the Collectors of such ports may from time to time, by notice in writing under their hands, approve and appoint warehouses or places of security in such ports, and direct in what different parts or divisions of such warehouse or places, and in what manner, and under what regulations, any and what sort of goods may be warehoused, kept, and secured without payment of duty upon the first entry thereof, and may also direct in what cases, and with what sureties, and to what amount, security by bond shall be required in respect of any warehouse so approved or appointed as aforesaid, or in respect of any goods deposited therein, or for the security of the duties due thereon; and such Collectors may by a like notice revoke or alter any such appointments or declarations; but every such notice of the appointment of warehouses, or of the revoking thereof, shall be subject to the Minister's approval, and shall be published in such manner as he may direct.

Warehouse keeper to give security.

70. The proprietor or occupier of every warehouse approved of and appointed as aforesaid, or someone on his behalf, shall give or procure to be given security by bond with two sufficient sureties, or such other security as the Collector may approve, for the payment of the full duties of importation on or for the due entry for exportation of all such goods as shall at any time be warehoused therein, and no goods shall be warehoused in any such warehouse until such security shall have been given.

importer under certain restrictions may warehouse goods,

71. The importer of any goods into any warehousing port may warehouse the same in warehouses appointed as aforesaid, or in any public warehouse, without payment of any duty on the first entry thereof, subject to the regulations, restrictions, and conditions hereinafter mentioned and from time to time directed by the Collector; but nothing herein contained shall be construed to render it incumbent on Government to provide accommodation for the warehousing of goods, or for the deposit of salt, which shall be warehoused only in private warehouses.

Entry for the warehouse. Particulars. Warrant for warehousing. Bond upon entry of goods for the warehouse.

72. The importer of any goods intended to be warehoused without payment of duty on the first entry thereof, or his agent, shall deliver to the Collector a bill of entry of such goods in the same manner and form and containing the same particulars as are hereinbefore required on the entry of goods to be delivered for home use, as far as the same shall be applicable, and the name and description of the warehouse in which such goods are intended to be warehoused, and the name of the person in whose name they are to be so warehoused, and such bill of entry when signed by the Collector or other authorized officer shall be transmitted to the

proper officer of customs and be the warrant for the examination and due warehousing of such goods, and all goods not duly entered shall be liable to forfeiture ; but the Collector may, if he see fit in any case so to do, require bond to be given by the importer or consignee in treble the amount of duties due thereon for the safe deposit and due clearance of such goods.

Power of lessee of customs premises in certain cases to cause warehousing entry to be passed for goods.

73. If at any time a portion of the customs premises has been or shall be leased for the purpose of landing, shipping, and warehousing goods to any company constituted for these purposes, it shall be lawful for such company, if the owners of any goods landed within such premises shall fail to make entry thereof and remove the same within ten clear days, to cause a warehousing entry to be passed for such goods under the general description of merchandise without the particulars required by section 72 and to remove the same to their warehouse, and the reasonable expenses of such entry, removal, and warehousing shall be reimbursed to such company by the owner or consignee of the goods so entered as aforesaid, and shall be recoverable by the said company: Provided that no goods entered by such company as aforesaid shall be liable to seizure by reason of any inaccuracy in the passing of any such entry, if it shall appear to the Principal Collector of Customs that such inaccuracy was not intentional or occasioned by willful or culpable negligence ; Provided, further, that in the case of any goods removed under this section no warehouse warrant shall issue, and that, if after the expiry of three months, such goods shall not have been cleared, they shall be sold in accordance with the provisions of section 109 of this Ordinance.

Goods warehoused to be marked and numbered, &c. Stowage of goods warehoused. Penalty. Locking and opening warehouse. Carrying goods to and from warehouse.

74. All goods so entered to be warehoused shall before deposit in any warehouse be properly marked and numbered by the importer in legible characters with the initials of the owner, importer, or consignee, or other distinguishing marks, and the goods shall be stowed so as to afford easy access thereto, and to every package or parcel in such parts or divisions of the warehouse, and in such manner as the Collector or the proper officer shall direct, and if the stowage be broken the goods shall be re-piled by the person breaking such stowage in such manner as the Collector may require, and the neglect or refusal to stow or re-pile them as hereinbefore directed shall subject the occupier of the warehouse, or the person so offending, to a fine not exceeding fifty rupees. The warehouse shall be locked and secured in such manner, and shall be opened on such days and during such hours as the Principal Collector with the sanction of the Minister may from time to time prescribe, and visited only at such times and in the presence of such

officers, and under such regulations as the Collector shall direct; and all such goods shall, after being landed upon importation, be carried to the warehouse, or shall after being taken out of the warehouse for exportation or for stores, be carried to be shipped, under such regulations as the Collector shall direct.

Goods not duly warehoused or fraudulently concealed or removed, forfeited.

75. If any goods entered to be warehoused shall not be duly warehoused in pursuance of such entry, or being duly warehoused shall be fraudulently concealed in or removed from the warehouse, or abstracted from any package, or transferred from one package to another, or otherwise, for the purpose of illegal removal or concealment, they shall be forfeited, together with the goods with which they shall have been so packed, and the packages in which they shall have been concealed.

Warehouse keeper neglecting to produce goods deposited, when required, to forfeit fifty rupees.

76. If the warehouse keeper of any warehouse shall not produce to any authorized officer of customs on his request any goods deposited in such warehouse which shall not have been duly cleared and delivered therefrom, such warehouse keeper shall for every such neglect forfeit the sum of fifty rupees in respect of every package or parcel not so produced.

Importer or proprietor clandestinely gaining access to warehoused goods to forfeit one thousand rupees.

77. If the warehouse keeper of any warehouse, or the importer or proprietor of any goods warehoused therein, or any person in his employ, shall clandestinely open the warehouse or gain access to the goods except in the presence of the proper officer of customs acting in the execution of his duty, such warehouse keeper, importer, or proprietor shall for every such offence forfeit a sum not exceeding one thousand rupees.

Duty on goods taken out of ware- house without entry to be paid by warehouse keeper. Persons taking out of or destroying goods in warehouse to be deemed guilty of an offence. Importer or consignee defrauded by officers to be indemnified.

[9, 32 of 1941.]

78. If any goods shall be taken out of any warehouse without due entry of the same with the proper officer of customs, the warehouse keeper of such warehouse shall forthwith pay the duties due upon such goods, and every person so taking out any goods without payment of duty, or who shall aid, assist, or be concerned therein, and every person who shall wilfully destroy or commit criminal breach of trust of any goods duly warehoused, shall be guilty of an offence and shall be liable to a fine not exceeding one thousand rupees or to imprisonment of either description for a term not exceeding two years, or to both such fine and imprisonment ; but if such person shall be an officer of customs not acting in the due execution of his duty, and shall be prosecuted to conviction by the importer, consignee, or proprietor of such goods, no duty shall be payable for or in respect of such goods, and the damage occasioned by such

waste, spoil, or criminal breach of trust shall, with the sanction of the Minister,1 be repaid or made good to such importer, consignee, or proprietor by the Collector of Customs.

Collector may remit duties on warehoused, goods lost or destroyed.

79.If any goods entered to be warehoused, warehoused, or entered to be delivered from the warehouse, shall be lost, damaged, or destroyed by unavoidable accident, either in receiving into the warehouse or in the warehouse, the Collector may remit the duties due thereon.

Landing account to be taken of goods for the warehouse. Contents to be marked on packages and in landing book.

80. Upon the entry and landing of any goods to be warehoused, the proper officer of customs shall take a particular account of such goods at the quay, wharf, or warehouse at which they shall be so landed, and shall enter in a book prepared for that purpose the name of the importing ship, and of the person in whose name they are entered, the marks, numbers, and contents of every such package, the description of the goods, and the warehouse in which the same shall be deposited, and when the same shall have been so deposited with the authority of such officer, he shall certify that the entry and warehousing of such goods is complete, and such goods shall from that time be considered goods warehoused ; and if any such goods shall be delivered, withheld, or removed from the proper place of examination before the same shall have been duly examined and certified by such officer, such goods shall be deemed to be goods not duly entered or warehoused, and shall be liable to be forfeited.

Goods to be entered and duties paid according to landing account

81. The account of goods so taken as aforesaid shall be the account upon which the duties payable upon such goods shall be ascertained, when the same shall ultimately come to be delivered upon due entry for that purpose, and the same shall be entered and the full duties due thereon be paid, according to the quantity taken in such account, without any abatement for any deficiency except as hereinafter provided.

Goods to be cleared within two years. Duties to be paid upon deficiencies &c.

82. All warehoused goods shall be cleared either for home use or exportation within two years from the date on which the same were warehoused, or within such further period as the Collector shall allow, in which case the goods shall be examined by the proper officers, and the duties due upon any deficiency or difference between the quantity ascertained on landing, and the quantity found to exist on such examination, together with the warehouse rent and necessary expenses attendant thereon, shall, subject to such allowances as are by law permitted in respect thereof, be paid down, and the quantity so found shall be re-warehoused in the name of the then owner or proprietor thereof, in the same manner as on first importation.

Goods not cleared or re-warehoused or duties paid on deficiencies after two years to be sold. Proceeds of sale

83. If any warehoused goods shall not be duly cleared, exported, or re-warehoused, and the duties ascertained to be due on the deficiencies as aforesaid shall not be paid at

how to be applied. Goods not worth the duty same may be exported or destroyed.

the expiration of two years from the previous entry and warehousing thereof, or within such further period as shall be permitted by the Collector, the same, if worth the duty due thereon, shall after one month's notice to the warehouse keeper, importer or consignee, be sold either for home use or exportation with or without the consent of the warehouse keeper, importer, or consignee ; and the proceeds thereof shall be applied to the payment of the duties, warehouse rent, and charges, and the surplus, if any, shall be paid to the owner or proprietor of such goods, if known; but if such owner or proprietor cannot be found, such surplus shall be carried to the account of Government to abide the claim of such owner or proprietor on his appearing and making good his claim thereto within one year from the date of sale; and if such goods shall not be worth the duty, then the after such one month's notice as aforesaid may be exported or may be destroyed, with or without the concurrence of the owner thereof, or the warehouse keeper of the warehouse in which the same were so warehoused, as the Collector shall see fit; and the duties due upon any deficiency thereof, not allowed by law, shall, if required by the Collector, be forthwith paid by the warehouse keeper.

Goods in warehouse may be repacked. Damaged parts may be destroyed.

84. With the sanction of the Collector, and after such notice given by the respective importers or proprietors and at such times and under such regulations and restrictions as the Collector shall from time to time require and direct, it shall be lawful in the warehouse to sort, separate, pack, and repack any goods, and to make such alterations therein as may be necessary for the preservation, sale, shipment, or disposal thereof; provided that such goods be repacked in the packages in which they were imported, or in such other packages as the Collector shall permit; and also to draw off any wine or any spirits into reputed quart or pint bottles for exportation only; and also to fill up any cask of wine, beer, or spirits from any other casks of the same, respectively secured in the same warehouse, and also to take such moderate samples of goods as may be allowed by the Collector with or without entry, and with or without payment of duty, except as the same may eventually become payable as on a deficiency of the original quantity; and the duty on the surplus, if any, of such goods as may be delivered for home use shall be immediately paid, and such surplus shall thereupon be delivered for home use accordingly; and after such goods have been so separated and repacked in proper or approved packages, the Collector may, at the request of the importer or proprietor of such goods, cause or permit any refuse, damage, or surplus goods occasioned by such separation or repacking, or at the like request, any goods which may not be worth the duty, to be destroyed, and may remit

the duty payable thereon.

Entry for exportation or home use

85. No warehoused goods shall be taken or delivered from the warehouse, except upon due entry and under the care of the proper officers, for exportation or to be shipped as stores, or upon due entry and payment of the full duties payable thereon for home use.

Bill of entry for warehoused goods delivered for home use. Duties to be paid according to landing account, except in certain cases when duties are to be charged on ascertained quantity on delivery, unless deficiency has been caused by improper means.

86. Upon the entry of any goods to be cleared from the warehouse for home use, the person entering such goods shall deliver a bill of entry, and duplicates thereof in like manner and form and containing the same particulars as hereinbefore required on the entry of goods to be delivered for home use on the landing thereof, as far as the same may be applicable, and shall at the same time pay down to the proper officer of customs the full duties payable thereon, not being less in amount than according to the account of the quantity taken by the landing waiter or other proper officer on the first entry and landing thereof, except as to the following goods, namely :-rice, wine, beer, spirits, and sugar, the duties whereon when cleared from the warehouse for home use shall be charged upon the quantity of such goods ascertained by weight, measure, or gauge at the time of actual delivery thereof, unless there is reasonable ground to suppose that any portion of the deficiency or difference between the weight, measure, or gauge ascertained on landing and first examination of any such last-mentioned goods and that ascertained at the time of actual delivery has been caused by illegal or improper means, in which case the proper officer of customs shall make such allowance only for loss as he may consider fairly to have arisen from natural evaporation or other legitimate cause.

Value of goods for allowance on deficiencies to be estimated at market price.

87. When any deficiency occurs in goods chargeable to pay duty according to the value thereof, the value thereof shall be estimated as nearly as conveniently may be by the officers of customs according to the market price of the like sort of goods.

Deficiencies on goods exported not to be charged with duly unless fraudulent.

88. No duty shall be charged in respect of any deficiency in goods entered and cleared from the warehouse for exportation, unless the officers of customs have reasonable ground to suppose that such deficiency, or any part thereof, has arisen from illegal abstraction.

On entry outward, bond for due shipment and

89. Before any warehoused goods subject to duties of customs shall be permitted to be exported, the exporter or his agent shall give security by bond, to be approved of by the Collector, in treble the amount of duty

landing shall be given.

payable by law upon the importation of such goods, with one sufficient surety, if required by the Collector, that such goods shall be duly shipped and exported, and shall be landed at the place for which they are entered outwards or otherwise accounted for, to the satisfaction of the Collector, and shall, if required, produce a certificate, under the hands of the proper officers at the port of landing, of the due landing of the goods at such port as aforesaid.

General bond for warehoused goods exported.

90. The Collector may, in such instances as he shall deem advisable, accept, in lieu of separate bonds as aforesaid, from the known resident exporters and shippers of goods, general bonds with one or two sufficient securities or such other security as the Collector may approve of, to such an amount as shall be necessary for the due shipment, exportation, and landing at the place for which they are entered outwards of all warehoused goods exported by such persons, but such general bonds shall only be in force for two years and may be revoked and cancelled whenever the Collector shall see fit.

Minister may close bonded warehouse.

91. It shall be lawful for the Minister, after notice published in the Gazette, to direct that after the expiration of twelve months from the date of such notice no goods or merchandise shall be warehoused in any public warehouse or premises, and to convert all or any of such warehouses or premises in use as bonding warehouses at the time of such notice to other purposes of customs accommodation, and any goods not cleared from such public warehouse by removal to other approved bonding warehouse, or by entry for home consumption or exportation, at the expiration of such notice aforesaid, shall be sold by the Collector in like manner as is provided for the sale of unclaimed goods.

Collector may issue warrants.

92. The Collector of Customs may, upon an application in writing by the owner, importer, or consignee of any goods duly warehoused in any warehouse of the Republic, or other place of deposit provided by Government, issue to such owner, importer, or consignee, warrants, under his hand substantially in the form in Schedule D*. (*Schedule omitted-See List of Enactments omitted from the Revised Edition.)

Goods transferable by endorsement and deliverable to the holders of warrants.

93. Such warrants shall be transferable once or oftener by the endorsement of the owner, importer, or consignee of the goods or of the holders of the said warrants, and the right and title to the goods enumerated in such warrants shall vest in the possessors thereof without any endorsement save that of the original grantee. The Collector shall, upon production and surrender of such warrants, but not otherwise, deliver the goods to the holders of the warrants, on due entry of the goods for home consumption or exportation, and upon payment of all duties and charges due on the said goods.

Warrants by private warehouse

94. It shall be lawful for the keeper of any bonded warehouse to issue to the owner, importer, or consignee of any goods duly warehoused in his bonded warehouse, warrants substantially in the form in Schedule D*. Such warrants

keepers.

shall be transferable, once or oftener, by the endorsement of the owner, importer, or consignee of the goods, or of the holders of the said warrants; and the right and title to the goods enumerated in such warrants shall vest in the possessors thereof without any endorsement save that of the original grantee. The keeper of such warehouse shall, upon production and surrender of such warrants but not otherwise, deliver the goods to the holders of the warrants on due entry of the goods for home consumption or exportation, and upon payment of all duties and charges due on the said goods: Provided that it shall not be lawful for the keeper of any bonded warehouse to issue warrants for goods in which he has any share or interest as owner, importer, or consignee.

No goods warehoused in Government or bonded warehouses to be delivered save on surrender of the warrant, and no warrant once surrendered to be reissued.

95. No goods warehoused in any warehouse of the Republic or other place of deposit provided by Government, or in any bonded warehouse, shall be delivered out of such warehouse of the Republic or other place of deposit provided by Government, or bonded warehouse, except upon surrender of the warrant in which such goods are enumerated, to the Collector of Customs or to the keeper of such bonded warehouse, as the case may be; every such warrant after being so surrendered, shall be defaced, and no such warrant after being so surrendered, shall be reissued :

But where partial delivery taken, a new warrant may be issued in respect of the goods remaining undelivered.

Provided that whenever the holder or holders of any warrant issued under section 92 or section 94 or under this section, shall be desirous of obtaining delivery of a part only of the goods enumerated in such warrant, it shall be lawful for the Collector of Customs or keeper of the bonded warehouse, as the case may be, upon the surrender of such warrant, to issue to the holder or holders by whom the same was surrendered a new warrant in respect of the goods remaining undelivered.

Penalty on infringement of section 95.

96. Any person who shall deliver any goods warehoused as mentioned in section 95, out of the place in which the same shall have been so warehoused, except upon the surrender, as therein mentioned, of the warrant in which such goods are enumerated, and any person who shall reissue any warrant surrendered as aforesaid, shall be deemed guilty of an offence, and liable on conviction to a fine not exceeding fifty rupees.

stamp duty on warehouse warrants fixed at fifty cents.

97. Every warrant, whether issued by a Collector of Customs or by the keeper of a bonded warehouse, shall bear a stamp duty of fifty cents, and such duty shall be denoted by adhesive stamps. Such warrants shall be liable, in all matters relating to stamp duty, to the provisions of the enactments relating to stamp duties, so far as the same shall be applicable thereto.

state when liable to make compensation for loss in any warehouse of the Republic.

98. Provided that the holder of any warrant issued by the Collector of Customs shall have no claim on the State to compensation for loss of any goods by fire, theft, damage, or other cause, except such loss be caused by the willful waste, spoil, destruction or criminal breach of

trust, on the part of any officer of customs, and such officer shall have been prosecuted to conviction within one year from the date of such willful waste, spoil, destruction or criminal breach of trust. The holder of a State not liable warrant issued by a bonded warehouse for loss in any keeper shall have no claim on the State to warehouse compensation on any ground or pretext whatsoever.

Goods otherwise liable to Customs laws and regulations,

99. Provided, further, that the Collector of Customs shall be in no way answerable for the correctness of the particulars of the contents or value of the goods specified in any warrant issued as aforesaid, and that the said goods shall be in every respect liable to the provisions of the laws and regulations relating to the customs in force at the time such goods shall be in deposit at the warehouse of the Republic or other place of deposit provided by Government.

Penalties.

100. Any keeper of a bonded warehouse who shall fraudulently issue a warrant for goods not in his warehouse, or who shall fraudulently issue two or more warrants for the same goods, or who shall fraudulently issue warrants for goods in which he has any share or interest as owner, importer, or consignee, or who shall aid and assist any other person to do so, and any keeper of such warehouse or other person who shall in any way use any warrant granted under the provisions of this Ordinance for the purposes of defrauding or injuring any person, company, or corporation, shall be guilty of an offence, and be liable to imprisonment with or without hard labour not exceeding three years, and in addition thereto, at the discretion of the Judge, to a fine not exceeding one thousand rupees.

PART XII
GENERAL REGULATIONS

[10, 32 of 1941.]

101.

(1) It shall be lawful for the Minister1 from time to time to make regulations as to him shall appear expedient for any of the following purposes : –

(a) for preventing accidents by fire, and as to the lighting or using of candles, fires, and lamps, and as to the smoking of tobacco or herbs within the customs premises ;

(b) for governing and regulating porters, labourers, cartmen, and others carrying goods, or using or driving any animals or vehicles within, the customs premises ;

(c) for preventing damage being done to any goods or property within the customs premises ;

(d) for prohibiting or regulating the admission of persons to the customs premises, and for excluding persons therefrom ; and

(e) for regulating the conduct of persons within the customs premises;

(f) for prescribing new forms for the warrants issued under

sections 92 to 100, both inclusive, and the manner in which such warrants are to be defaced,

and such regulations shall be published in the Gazette and shall have the force of law. Any person who shall disobey the same shall be guilty of an offence, and shall be liable to forfeit a sum not exceeding fifty rupees, or, on summary trial and conviction by a Magistrate, to a fine not exceeding fifty rupees or to imprisonment of either description for any term not exceeding three months or to both such fine and imprisonment.

(2) In this section and in any regulation made thereunder, " customs premises " means the customs premises as defined from time to time by the Principal Collector of Customs by notification in the Gazette.

Goods of dangerous quality.

102. If the owner, consignee, or person having charge of any tar, pitch, spirituous liquor, turpentine, oil, aqua fortis, lucifer matches, or any other article- of a combustible or dangerous nature whatsoever, shall suffer the same to remain in the customs premises beyond the space of five hours after he shall have been required by any officer of customs to remove the same therefrom, then and in every such case every person so offending shall for every such offence be liable to a fine not exceeding fifty rupees and not less than ten rupees for every hour that any of the said articles or goods shall be or remain in the place aforesaid after the expiration of the said five hours.(* Application modified by section 86 (2) of the Ceylon Ports Authority Act. " Port Commissioner " shall be deemed to be a reference to the Ports Authority in the application of this provision to any " specified port "-See section 86 (3) of the Ceylon Ports Authority Act.)

Special regulations for ships.

103.

(1) Whereas it is desirable to facilitate the despatch of ships, it shall be lawful for the Minister to make special regulations from time to time relating to the entry inwards and outwards of such ships, and the landing, shipping, and transhipping of goods by them, and such regulations when duly published, shall have the same effect in law as if they formed part of this Ordinance.

(2) The regulations made under the foregoing subsection may, amongst other matters-

(a) prescribe the fees and charges payable by persons requiring the services of any officer of customs outside such hours as the Principal Collector with the sanction of the Minister may from time to time prescribe, or on any day when the custom-house is closed for business ;

(b) provide for the collection or summary recovery of such fees and charges and the disposal thereof upon collection or recovery; and

(c) require the furnishing of security in money for the payment of any duties, dues, fees or charges payable in respect of goods imported or exported before the presentation of the bills of entry for such goods.

Approval of Port Commissioner for bringing cargo into Colombo port warehouse.

104. No cargo shall be brought into any Colombo port warehouse for shipment without the prior approval of the Port Commissioner.

Goods lodged in warehouse of the Republic liable to claims for freight, &c.

105.

(1) All goods or merchandise which shall be lodged in any warehouse of the Republic under the provisions of this Ordinance, not being goods seized as forfeited, shall, when landed, continue and be subject and liable to such and the same claim for freight and general average in favour of the master, owner, or agent of the respective ship, or of any other person interested in the freight or general average from which such goods or merchandise shall have been so landed, as such goods or merchandise respectively were subject and liable to before the landing thereof.

Collector required to detain goods freight &c

(2) The Collector is hereby authorized and required, upon due notice in writing given to him by such master, owner, agent, or other person as aforesaid, specifying the particulars of the goods and requiring the goods or any portion thereof to remain subject to a lien for freight, primage, general average, or other charges, to detain and keep in the warehouse of the Republic the whole or such portion of such goods, not being seized as forfeited, until he receives notice in writing that the said charges are paid.

Collector not bound to see to validity of any lien.

(3) The Collector shall not be bound to see to the validity of any lien claimed by any . master, owner, agent, or other person as aforesaid.

Power to sell goods not cleared in thirty days.

(4) If any goods or merchandise deposited as aforesaid be left in any customhouse or warehouse of the Republic for a longer period than thirty days from the date of landing, such goods shall, after public advertisement, be sold by public auction either for home use or exportation, and the proceeds thereof applied first to the payment of the duties due thereon, the warehouse rent, and expenses of sale, then to the payment of the freight, primage, general average, and charges claimed as aforesaid, and the overplus, if any, shall be paid to the proprietor of the goods; but if there be no such proprietor, such overplus shall be paid into the Treasury, and if not claimed within one year from the date of the sale of such goods, such

overplus shall be brought to account as revenue:

Perishable goods may be sold at once.

Provided that goods of a perishable nature or in a damaged condition may, after public advertisement, be sold forthwith, and if not saleable may be destroyed, and neither the proprietor nor the claimant of the freight, primage, general average, and charges as aforesaid, due on any goods sold or destroyed as aforesaid, shall have any claim on the Collector for or on account thereof.

(5) The Collector shall not be required to Livestock. detain for freight, primage, general average, or charges as aforesaid horses, cattle, or other livestock, unless proper provision be made by the person detaining the same for the feeding, care, and housing of such livestock.

Bonds to be taken by Collector.

106. All bonds relating to the customs, required to be given in respect of goods or ships shall be taken by the Collector for the use of the State, and after the expiration of three years from the date thereof, or from the time, if any, limited therein for the performance of the condition thereof, every such bond upon which no prosecution or suit shall have been commenced shall be void, and may be cancelled and destroyed.

Goods concealed in packages or delivered with out entry forfeited.

107.

(1) If any goods, packages, or parcels shall be landed, taken, or passed out of any ship, or out of any warehouse, not having been duly entered, the same shall be forfeited:

Passengers' Babbage.

Provided always that no entry shall be required in respect of the baggage of passengers, which may be landed, examined, and delivered under such regulations as the Collector may direct; but if any prohibited or uncustomed goods shall be found concealed therein or upon the person of the passenger, or in any place in which they have been put by his direction, or with his connivance, either before or after landing, the same shall be forfeited, together with the contents of the packages and the packages containing the same.

(2) Any passenger leaving Ceylon may be searched and his baggage examined by such officers, and in accordance with such directions, as the Collector may prescribe by notification published in the Gazette :

Provided that no female passenger shall be searched by any person other than a female duly authorized in that behalf by the Collector.

(3) If any prohibited or uncustomed goods are found concealed in the baggage of any passenger leaving Ceylon or upon his

person or in any place in which they have been put by his direction or with his connivance either before or after embarkation, those goods shall be forfeited.

Goods in any warehouse to be at risk of the owner.

108. All goods lodged or deposited in any warehouse of the Republic or other place of deposit provided by Government shall be so deposited at the risk of the owner, importer, or consignee, who shall have no claim on the State to compensation for loss by fire, theft, damage, or other cause, except such loss be proved by the prosecution to conviction (within one year from the date at which such willful waste, spoil, destruction, or criminal breach of trust is alleged to have taken place) of the offending party to have been caused by the willful waste, spoil, destruction, or criminal breach of trust of any officer of customs, and in which case no duty shall be leviable on such goods.

Power to sell goods not cleared within thirty days.

109. All goods left in any warehouse of the Republic or on the customs premises for a longer period than thirty days, unless permitted to remain by the special permission of the Collector, shall, after public advertisement, be sold by auction to answer the duties, warehouse rent, or other charges due thereon, and any overplus shall be paid, if claimed within twelve months from the date of sale, to the owner of such goods, who shall have no further claim touching the same, but if there be no claimant such overplus shall be brought to account as revenue;

Provided that any goods of a perishable nature which shall be left in the warehouse or customs premises, or in any bonded warehouse, uncleared, may be sold forthwith, or if not saleable may be destroyed, and the proprietor of any goods sold or destroyed as aforesaid shall have no further claim for or on account thereof.

Collector's power to order removal of goods from one warehouse to another.

110.

[19, 29 of 1952.]

(1) For the purpose of preventing the congestion of goods in any Queen's warehouse or in the customs premises, or if the Collector considers it expedient, he may by written order require any person who has deposited any goods in that warehouse or in such premises to remove them therefrom and deposit them in such other place within the customs premises as may be specified in the order within the period specified therein.

(2) A person who does not comply with an order issued to him under subsection (1) shall be liable to a penalty of one thousand rupees.

Government may appoint ports and quays and alter or annul the same. Existing ports to continue.

1ll. The Minister may by Order appoint any place to be a haven, creek, port, or warehousing port in Ceylon and declare the limits thereof, and appoint proper places within the same to be legal quays for the lading and unlading of goods, and declare the bounds and

extent of any such quays, or annul the limits of any port, haven, creek, or legal quay already appointed, or to be hereafter appointed, and declare the same to be no longer a port, warehousing port, haven, creek, or legal quay; and all ports, warehousing ports, havens, and creeks, and the respective limits thereof, and all legal quays appointed, set out, and existing as such at the time of the passing of this Ordinance shall continue to be such ports, havens, creeks, and quays until annulled or altered as aforesaid.

Collector to appoint wharves

112. The Collector may from time to time, by any order under his hand, and under such restrictions and regulations as he shall see fit, appoint proper places for the lading and unlading of goods.

Officers may refuse any person to do any act as master of ship, unless his name is endorsed on registry.

113. The officers of customs may refuse to allow any person to do any act as master of any British ship, unless his name is inserted in or endorsed upon the certificate of registry of such ship as being the master thereof.

When ship's agent may act for master.

114. Anything which a master is required or empowered to do under this Ordinance may, with the express or implied consent of such master and with the approval of the Collector of Customs, be done by a ship's agent.

Collector to grant licenses to custom-house agents.

115. The Collector may and he is hereby authorized to grant licenses in such form and manner and to such persons as he shall think fit, to act as agents for transacting business which shall relate to the entry or clearance of any ship, or of any goods, or of any baggage, in any of the ports or places in Ceylon, and only persons so appointed shall act as agents as aforesaid, and the Collector may cancel or revoke for fraud or misconduct any licence so granted to any such person:

Parties applying to transact business for others to produce written authority for so doing.

Provided that such licence shall not be required by the clerk, servant, or known and accredited agent of any person or mercantile firm for transacting business at the customhouse on account of such person or firm; but whenever any person shall make any application to any officer of the customs to transact any business on behalf of any other person, it shall be lawful for such officer to require the person so applying to produce a written authority from the person on whose behalf such application shall be made, and in default of the production of such authority to refuse to transact such business.

No vessel to be hauled on shore without permission. Boat to be removed from wharf when directed. Penalty.

116.* No ship or boat shall be hauled on shore at any public wharf, quay, beach, or landing place in Ceylon, for the purpose of repairs or otherwise, without permission from the Collector, and no boat shall remain alongside of any wharf or landing place after the owner or person in charge shall be directed to remove the same by the proper officer of customs ; and any person hauling any ship or boat on shore without such permission as aforesaid, and the owner or person in charge of any boat refusing or neglecting to remove the same when ordered as aforesaid shall be liable to a fine not

exceeding fifty rupees, and such ship or boat may be detained by the Collector until payment of the fine imposed.

* Application modified in the port of Colombo. – See section 16 of the Port of Colombo (Administration) Act.

No timber, &c, to be left on wharf for more than one day.

117. * If any timber or other heavy or bulky articles be left on any public quay, jetty, wharf, beach, or landing place in Ceylon for more than one day, so as to interrupt or hinder the free use thereof, it shall be lawful for the Collector, after twelve hours' notice in writing given to the owner thereof or to his agent, to remove the same ; and such owner shall be liable to a penalty not exceeding fifty rupees and such goods shall not be delivered up to the owner thereof until after payment of the said penalty, together with the charges attending the removal of the same ; and if such goods shall not be removed within six days after notice given as aforesaid, it shall be lawful for the Collector to sell the same by public auction, and to deduct from the proceeds the amount of such penalty and all charges which may have been incurred on account of such goods, and the surplus, if any, shall be paid to the owner.

* Application modified in the port of Colombo. – See section 16 of the Port of Colombo (Administration) Act.

Officers may board ships hovering on the coasts , and bring them into port. Penalty.

118. It shall be lawful for the officers of customs to go on board any ship in any port or place in Ceylon, or hovering within one league of the coast thereof, and to rummage and search all parts of such ship for prohibited and uncustomed goods, and freely to stay on board such ship so long as she shall remain in such port or place or within such distance ; and if any such ship shall be bound elsewhere, and shall continue so hovering for the space of twenty-four hours after the master shall have been required to depart, it shall be lawful for the officers of customs to bring such ship into port, and to search and examine her cargo, and to examine the master touching the cargo and voyage ; and if there be any goods on board prohibited to be imported into Ceylon, and if the master shall not truly answer the questions which shall be demanded of him on such examination, he shall forfeit a sum not exceeding one thousand rupees.

Making false declaration. Signing false documents and untruly answering questions. Counterfeiting and using false documents. Penalty.

119. If any person shall make and subscribe any declaration, certificate, or other instrument required by this Ordinance to be verified by signature only, the same being false in any particular ; or if any person shall make or sign any declaration made for the consideration of the Collector or the proper officer of customs on any application presented to him, the same being untrue in any particular ; or if any person required by this Ordinance or any other enactment relating to the customs to answer questions put to him by the officers of customs shall not truly answer such questions ; or if any person shall counterfeit, falsify, or wilfully use when counterfeited or falsified, any document required by this Ordinance or any

enactment relating to the customs, or by or under the directions of the Collector of Customs, or any instrument used in the transaction of any business or matter relating to the customs, or shall fraudulently alter any document or instrument, or counterfeit the stamp, seal, signature, initials, or other mark of, or used by the officers of the customs for the verification of any such document or instrument, or for the security of goods, or any other purpose, in the conduct of business relating to the customs, every person so offending shall for every such offence forfeit a sum not exceeding one thousand rupees :

Provided always that this penalty shall not attach to any particular offence for which any other penalty shall be expressly imposed by any law in force for the time being.

Bond entered into with the Collector for the due performance of anything relating to the customs, to be valid in law.

120. And whereas it frequently occurs that certain indulgences are granted to merchants and others by the Collector of Customs on bond being given for the security of the revenue, and as doubts may arise whether such bonds would in law be valid:

It is therefore enacted and declared that in all cases where bonds shall be entered into with the Collector of Customs for the due performance of any order, matter, or thing relative to the customs, such bonds shall be valid in law, and upon breach of any of the conditions thereof may be sued and proceeded upon in like manner as any other bond entered into by virtue of this Ordinance.

Export, &c, of naval, military, and air stores maybe prohibited.

121. The Minister may by Order published in the Gazette prohibit either absolutely or subject to such restrictions and conditions as he may in his discretion determine, the exportation or the carriage coastwise of all or any of the following goods, namely :-

arms, ammunition and gunpowder, naval, military, and air stores and any articles which the Minister shall judge capable of being converted into or made useful in increasing the quantity of naval, military or air stores, provisions, or any sort of victual which may be used as food by man; and if such goods shall be exported from Ceylon or carried coastwise in contravention of such prohibition or otherwise than in accordance with such restrictions and conditions, or be water-borne to be so exported or carried, such goods may be seized and shall be forfeited.

Unauthorized persons not permitted to, make entries.

122. Every person who shall make or cause to be made an entry inwards or entry outwards of any goods, not being duly authorized thereto by the proprietor or consignee or exporter of such goods, shall for every such offence forfeit a sum not exceeding one thousand rupees.

Samples.

123. It shall be lawful for the Collector to authorize the officers of customs to take samples of goods for the purpose of ascertaining the duties payable on such goods or for any other purpose relative to the customs, and such samples shall be accounted for in such manner as the Collector may direct.

Collector may refuse

124. The Collector may refuse to grant clearance to any ship until the owner,

clearance.

agent, or master of that ship, or some other person, shall have paid all port dues, fees, fines, penalties, or charges to which such ship or the owner or master of such ship in respect thereof shall be liable under this Ordinance or any other enactment:

Provided such port dues, fees, fines, penalties, or charges shall have been incurred during her present voyage inwards or outwards.

PART XIII
SMUGGLING, SEIZURES, AND PROSECUTIONS GENERALLY

Smuggling, seizures, and prosecutions generally. Forfeiture of ship to include tackle, &c.

125. All goods and all ships and boats which by this Ordinance are declared to be forfeited shall and may be seized by any officer of the customs; and such forfeiture of any ship or boat shall include the guns, tackle, apparel, and furniture of the same, and such forfeiture of any goods shall include all other goods which shall be packed with them, as well as the packages in which they are contained ; and all carriages or other means of conveyance, together with all horses and all other animals, and all other things made use of in any way in the concealment or removal of any goods liable to forfeiture under this Ordinance, shall be forfeited.

Stoppage, inspection, and search of vehicles suspected to be transporting smuggled goods, &c.

126.

(1) Where any officer of customs, or any peace officer or excise officer acting in aid or assistance of any officer of customs, has reason to suspect that smuggled goods are being transported or removed in any vehicle of any description whatsoever, it shall be lawful for such officer-

(a) to give such orders, directions or signals, or to use such devices, or to take such other measures, as may be necessary to stop the vehicle or to cause it to be halted ; and

(b) to inspect and search the vehicle.

(2) Where the Collector of Customs has reason to suspect that any road is being used by vehicles which transport or remove smuggled goods, he may erect or cause to be erected across the road or any part thereof a barrier or barriers of such nature and description as to him may seem necessary for the purpose of stopping vehicles using that road or causing such vehicles to be halted.

(3) Where any barrier has been erected under subsection (2) across any road or any part thereof, it shall be lawful for any officer of customs or for any peace officer or excise officer acting in his aid or assistance-

(a) to give such orders, directions or signals as

may be necessary to cause any vehicle of any description whatsoever using such road to stop or to be halted at such barrier; and

(b) to inspect and search every vehicle stopped or halted at such barrier, for the purpose of ascertaining whether any smuggled goods are being transported or removed in such vehicle.

(4) Where any order, direction or signal is given under any of the preceding provisions of this section for the purpose of stopping any vehicle, the driver or other person for the time being in charge of such vehicle shall forthwith stop the vehicle or cause it to be halted in accordance with such order, direction or signal; and any driver or other person who fails or refuses to comply with such order, direction or signal shall be guilty of an offence and liable on conviction thereof to a fine not exceeding one thousand rupees.

(5) Neither the Collector of Customs, nor any other officer of customs, nor any peace officer or excise officer acting in aid or assistance of any officer of customs, shall be liable to any action or prosecution, whether civil or criminal, by reason of the erection of any barrier, or the stoppage, inspection or search of any vehicle, or of any other act or thing done in pursuance of the powers conferred by the preceding provisions of this section, notwithstanding that smuggled goods may not in fact be found in any vehicle which is stopped, inspected or searched as hereinbefore provided.

(6) In this section-

(a) ” peace officer ” has the same meaning as in the Code of Criminal Procedure Act;

(b) ” excise officer” has the same meaning as in the Excise Ordinance.

Arrest of persons reasonably suspected of an offence under the Ordinance,

127. Every offence under this Ordinance shall be deemed to be cognizable within the meaning of the Code of Criminal Procedure Act, and any person against whom a reasonable suspicion exists that he has been guilty of any such offence may be arrested in any place either upon land or water by any officer of customs or other person duly employed for the prevention of smuggling. Every person so arrested shall with all convenient despatch, be taken before the nearest Collector of Customs to be dealt with according to law.

Arrest of persons reasonably suspected of an offence under the Ordinance.

128.

(1) The Collector or any officer of customs authorized in that behalf in writing by the Collector may-

(a) at all reasonable hours by day or night enter and search any building or place in which he suspects there are-

(i) any uncustomed goods,

(ii) any goods enumerated in the table of prohibitions and restrictions in Schedule B* and imported or brought into the Island contrary to the prohibitions and restrictions referred to in that Schedule, or

(iii) any books of accounts or other documents containing any evidence relating to an offence under this Ordinance which, or which he suspects, has been or is being committed ;

(b) break open any door, vault, chest, trunk, package or other place of storage which he may consider reasonably necessary to break for the purpose of exercising his powers under the preceding provisions of this subsection; and

(c) where he discovers any such goods, books or documents, seize and store them in a place of security selected by the Collector.

(2) The Collector or any officer of customs referred to in subsection (1) may request any person in charge or occupation of any building or place specified in paragraph (a) of that subsection to assist the Collector or such officer to enter and search that building or place in the exercise of the powers of the Collector or such officer under that subsection, and if such person when so requested fails to assist the Collector or such officer, he shall be guilty of an offence.

(3) If any person obstructs the Collector or an officer of customs referred to in subsection (1) in exercising any power under that subsection, he shall be guilty of an offence.

(4) A person who is guilty of an offence under subsection (2) or subsection (3) shall be liable on conviction to a fine not exceeding one thousand rupees.

Persons concerned in importing prohibited or

129. Every person who shall be concerned in importing or

restricted goods, whether unshipped or not, and persons unshipping, harbouring, or having custody of such goods, to forfeit treble the value, or one thousand rupees.

bringing into Ceylon any prohibited goods, or any goods the importation of which is restricted, contrary to such prohibition or restriction, and whether the same be unshipped or not, and every person who shall unship or assist, or be otherwise concerned in the unshipping of any goods which are prohibited, or of any goods which are restricted and imported contrary to such restriction, or of any goods liable to duty the duties for which have not been paid or secured, (or who shall knowingly harbour, keep, or conceal, or shall knowingly permit or suffer, or cause, or procure to be harboured, kept, or concealed, any such goods, or any goods which have been illegally removed without payment of duty from any warehouse or place of security in which they may have been deposited, or into whose hands and possession any such goods shall knowingly come, or who shall assist or be concerned in the illegal removal of any goods from any warehouse or place of security in which they shall have been deposited as aforesaid, or who shall be in any way knowingly concerned in conveying, removing, depositing, concealing, or in any manner dealing with any goods liable to duties of customs with intent to defraud the revenue of such duties or any part thereof, or who shall be in any way knowingly concerned in any fraudulent evasion or attempt at evasion of such duties or any part thereof, shall in each and every of the foregoing cases forfeit either treble the value of the goods, or the penalty of one thousand rupees, at the election of the Collector of Customs.

Persons concerned in exporting prohibited or restricted goods.

130. Every person who shall be concerned in exporting or taking out of Ceylon or attempting to export or take out of Ceylon any prohibited goods or any goods the exportation of which is restricted contrary to such prohibition or restriction, whether the same be laden for shipment or not and every person who shall export or attempt to export any goods liable to duty the duties for which have not been paid or secured, or in any manner deal with any goods liable to duties of customs with intent to defraud the revenue of such duties or any part thereof, or who shall be knowingly concerned in any fraudulent evasion or attempt at evasion of such duties or any part thereof, shall in each and every of the foregoing cases forfeit either treble the value of the goods, or be liable to a penalty of one thousand rupees at the election of the Collector of Customs.

Forfeited ships.

131.

(1) Any ship not exceeding 250 tons tonnage, knowingly used in the importation or exportation of any goods prohibited of import or export, or in the importation, exportation or conveyance, or in the attempted importation, exportation or conveyance, of any goods with intent to

defraud the revenue, shall be forfeited.

(2) The owner or master of any ship exceeding 250 tons tonnage, which would be liable to forfeiture under this section if the ship were of less than 250 tons tonnage, shall forfeit a sum not exceeding ten thousand rupees, and the ship may be detained on the orders of the Collector until such sum is paid or until security for its payment is given to the satisfaction of the Collector.

If goods removed prior to examination, penalty upon parties concerned in the removal.

132. Every person who shall remove any goods imported into Ceylon from any ship, quay, wharf, or other place previous to the examination thereof by the proper officer of customs, unless under the care or authority of such officer, or who shall remove or withdraw from any quay, wharf, or other place any goods entered to be warehoused after the landing thereof, so that no sufficient account is taken thereof by the proper officer, or so that the same are not duly warehoused, and every person who shall, assist or be otherwise concerned in such removal or withdrawal, or shall knowingly harbour, keep, or conceal, or shall knowingly permit or suffer, or cause or procure to be harboured, kept, or concealed, any such goods, or into whose possession any such goods shall knowingly come, every such person shall forfeit either treble the value thereof, or the penalty of one thousand rupees, at the election of the Collector of Customs.

Persons assisting in unshipping or harbouring such goods liable to treble the value or one thousand rupees.

133. Every person who shall assist or be otherwise concerned in the unshipping, landing, or removal, or in the harbouring of such goods, or into whose hands or possession the same shall knowingly come, shall forfeit treble the value thereof, or the penalty of one thousand rupees, at the election of the Collector of Customs ; and the averment in any information to be exhibited for the recovery of such penalty that the Collector of Customs has elected to sue for the sum mentioned in the information shall be deemed sufficient proof of such election, without any other or further evidence of such fact.

How value to be ascertained.

134. In all cases where any penalty, the amount of which is at any time to be determined by the value of any goods, is directed to be sued for under this Ordinance, such value shall be deemed and taken to be according to the rate and price which goods of the like sort or denomination, and of the best quality, bear at such time at the place of importation, and upon which the duties due upon importation have been paid.

Goods, vessels, &c, liable to forfeiture may be seized by officers, &c.Persons resisting officers or rescuing or destroying goods to prevent seizure, to forfeit one thousand rupees.

135. All goods, and all ships and boats, and all carriages and all cattle, liable to forfeiture under this Ordinance, shall and may be seized in any place, either by land or water, by any officer of the customs or police, or by any headman, or by any person employed for that purpose, by or with the concurrence of the Minister, [1] and every person who shall in any way hinder, oppose, molest, or obstruct any officer of

the customs or police, or any headman, or any person so employed as aforesaid in the exercise of his office, or any person acting in his aid or assistance, or shall rescue, or cause to be rescued, any goods which have been seized, or shall attempt or endeavour to do so, or shall before or at or after any seizure stave, break, or otherwise destroy any goods to prevent the seizure thereof, or shall rescue the same, then and in any such case the party so offending shall be guilt} of an offence, and shall for every such offence forfeit a sum not exceeding one thousand rupees.

Goods stopped or taken by police officer.

136. If any goods liable to forfeiture under this Ordinance shall be stopped or taken by any police officer or headman, such goods shall be conveyed to the custom-house nearest to the place where the goods were stopped or taken, and there delivered to the proper officer appointed to receive the same, within a reasonable time after the said goods were stopped and taken ; and in case any police officer or headman stopping such goods shall neglect to have the same conveyed to such custom-house within a reasonable time, such police officer or headman shall forfeit a sum not exceeding one hundred rupees.

Officers making collusive seizures, or taking bribes, and persons giving bribes, subjected to penalties.

137. If any officer of the customs, or any person employed for the protection of the revenue, shall make any collusive seizure, or deliver up, or make any agreement to deliver up, or not to seize any ship, boat, or goods liable to forfeiture under this Ordinance, or shall take any bribe, gratuity, recompense, or reward for the neglect or non-performance of his duty, every such officer or other person shall forfeit for every such offence a sum not exceeding one thousand rupees, and be rendered incapable of serving the Government of Ceylon in any office whatever ; and every person who shall give or offer, or promise to give or procure to be given any bribe, recompense, or reward to, or shall make any collusive agreement with, any such officer or person as aforesaid, to induce him in any way to neglect his duty, or to do, conceal, or connive at anything whereby the provisions of this Ordinance may be evaded, shall forfeit a sum not exceeding one thousand rupees.

Officers may search persons on board or on shore in certain cases.
Penalty for obstructing the officer.

138. It shall be lawful for any officer of customs to go on board any ship which shall be within the limits of any port in Ceylon, and search any person on board, and it shall be lawful for him to search any person who shall have landed from any ship, or any person passing or having passed through the custom-house, provided such officer shall have good reason to suppose that such person shall have any uncustomed or prohibited goods secreted about his person; and if any person shall obstruct any such officer in the performance of any such duty, every such person shall be guilty of an offence, and shall be liable on conviction thereof to a fine not exceeding one thousand rupees.

Prohibition against the throwing overboard of goods, &c.

[21, 29 of 1952.]

139. If any Person throws overboard any goods from a ship for the purpose of preventing the seizure thereof, he shall be guilty of an offence and liable to a fine not exceeding one thousand rupees ; and if, in a prosecution for any such offence, it is proved to the satisfaction of the court that goods were thrown overboard while any officer of customs was on board in exercise of the powers, conferred by section 64 or section 118 or section 138 of this Ordinance or in the course of an attempt by an officer of customs to seize the goods, it shall be presumed unless the contrary is proved that they were so thrown overboard for the purpose of preventing seizure.

Before such search the person may require to be taken before a Magistrate or a superior officer of the customs.

140. Before any person shall be searched by any such officer as aforesaid it shall be lawful for such person to require such officer to take him before a Magistrate, or before the Collector or other superior officer of customs, who shall determine whether there is reasonable ground to suppose that such person has any uncustomed or prohibited goods about his person; and if it shall appear to such Magistrate, Collector, or other superior officer of customs that there is reasonable ground to suppose that such person has any uncustomed or prohibited goods about his person, then such Magistrate, Collector, or other superior officer of customs shall direct such person to be searched in such manner as he shall think fit; but if it shall appear to such Magistrate, Collector, or other superior officer of customs that there is not reasonable ground to suppose that such person has any uncustomed or prohibited goods about his person, then such Magistrate, Collector, or other superior officer of customs shall forthwith discharge such person, who shall not in such case be liable to be searched ; and every such officer as aforesaid is hereby authorized and required to take such person, upon demand, before any such Magistrate, Collector, or other superior officer of customs, detaining him in the meantime :

Provided that no person being a female shall be searched by any other person than a female duly authorized for that purpose by the Collector of Customs.

Penalty on officers for misconduct with respect to search.

141. If any such officer shall not take such person with reasonable despatch before such Magistrate, Collector, or other superior officer of customs when so required, or shall require any person to submit to be searched by him, not having reasonable ground to suppose that such person has any uncustomed or prohibited goods about his person, such officer shall forfeit and pay a sum not exceeding one hundred rupees.

Penalty on persons on board falsely denying having foreign goods about them.

142. If any passenger or other person on board any ship or boat, or after landing therefrom, shall upon being questioned by any officer of the customs whether he has any foreign goods upon his person or in his possession, deny the same, and any such goods shall, after such denial, be discovered upon his person or in his possession, such goods shall be forfeited, and such person shall forfeit treble the value of such goods.

Power to fire at vessels failing to bring to when required.

[7, 9 of 1949.]

143. (1) If any ship or boat which is liable to seizure or examination under this Ordinance, or which officers of customs are empowered by this Ordinance to board, shall not bring to when required so to do –

(a) the master of such ship or boat shall forfeit the sum of two hundred rupees ; and

(b) it shall be lawful for the officer of customs having the charge or command of any vessel flying the Ceylon Customs flag, having first caused a gun to be fired as a signal, to fire at or into such ship or boat; and such officer of customs or any other person acting in his aid or assistance or by his direction shall be and is hereby indemnified and discharged from any action or prosecution, whether civil or criminal, in respect of any act done in pursuance of the powers conferred by this section:

Provided, however, that the powers conferred on any officer of customs by the preceding provisions of this section shall not be exercised except in relation to a ship or boat which is for the time being within the territorial waters of Ceylon.

(2) Where any vessel, other than a vessel duly authorized by the Collector in that behalf, flies the Ceylon Customs flag, the master or person in charge of the vessel shall be guilty of an offence and liable to a fine not exceeding one hundred rupees.

(3) In this section, " Ceylon Customs flag " means a flag of such design or description as may be specified by the Principal Collector by notice published in the Gazette to be the Ceylon Customs flag.

Goods not to be passed if incurrred penalty is not paid.

144. If any person fails to pay any sum of money which he, under this Ordinance, has forfeited, or becomes liable to forfeit or to pay as a penalty, the officers of customs may refuse to pass any goods which that person imports or brings into or is seeking to export or take out of Ceylon until that sum is paid:

Provided that nothing in the preceding provisions of this section shall be deemed to prohibit the recovery of such sum by the Collector under any other provision of law.

Recovery of penalties.

145. All penalties and forfeitures which shall be incurred under this Ordinance shall and may be sued for and recovered in the name of the Attorney-General in the respective courts of Ceylon, in like manner as other revenue cases.

Person liable to forfeiture

146. * If any person by reason of any act or omission becomes liable,

or penalty under any section of the Ordinance to be guilty of an offence.

[8, 3 of 1939.]

under the provisions of any section of this Ordinance to forfeit any goods or any sum of money, or to any penalty other than a fine, such person shall, in addition, be guilty of an offence and shall be liable on conviction after summary trial before a Magistrate –

(a) for a first offence, to a fine not exceeding one thousand rupees or to imprisonment of either description for a term not exceeding six months or to both such fine and imprisonment ;

(b) for a second or subsequent offence, to a fine not exceeding two thousand rupees or to imprisonment of either description for a term not exceeding one year or to both such fine and imprisonment :

Provided, however, that no prosecution shall be instituted against any person under this section, unless the Principal Collector of Customs is of opinion that the forfeiture or penalty, as the case may be, whether imposed or not, cannot or is not likely to be recovered from such person.

Prosecutions for offences and application of fines.

147.

(1) Every offence under this Ordinance shall be summarily triable by a Magistrate.

(2) No prosecution for any offence under this Ordinance shall be instituted except by, or with the written sanction of, the Principal Collector of Customs or a Deputy Collector of Customs.

(3) The Principal Collector of Customs may at any time compound any offence under this Ordinance: Provided that where a prosecution has been entered against any person for any offence under this Ordinance, the Principal Collector of Customs may compound such offence at any time before judgment and may withdraw such prosecution.

(4) Notwithstanding the provisions of any written law to the contrary, all fines recovered in respect of offences under this Ordinance shall be paid into the hands of the Collector of Customs at the port or place where or nearest to which the same shall have been recovered, and applied in the manner provided in section 153.

Averment of offence.

148. In any information or other proceeding for any offence against this Ordinance the averment that such offence was committed within the limits of any port or of the territorial waters of Ceylon shall be sufficient, without proof of such limits, unless the contrary be proved.

Several persons concerned in the same offence jointly and severally liable to the penalty, and may be

149. When any penalty is imposed upon any person committing or concerned in the act by which such penalty is incurred, and such offence shall have been committed by

sued either by one or by separate informations.

several persons jointly, or several persons shall have been concerned in the same, such several persons shall jointly and severally incur every such penalty; and it shall be lawful to proceed against such persons to recover such penalty jointly by one information or severally by separate informations, as the Attorney-General may deem expedient.

Goods not specified in boat-note when found concealed in any boat to be presumed to have been stolen or unlawfully received by tindal and boatmen of such boat.

150. Whenever goods not specified in the boat-note mentioned in section 38 have been concealed in any boat during the loading, transit, or unloading of such boat in any harbour or port of Ceylon, the discovery of such goods on board such boat shall be received in all courts of Ceylon as prima facie evidence that the goods have been either stolen by the tindal and boatmen employed in such boat or that the same have been unlawfully received on board by the tindal and boatmen employed on such boat with knowledge that the same have been stolen; and shall be conclusive thereof unless and until such tindal and boatmen or any of them shall satisfactorily account for the presence of such goods on board such boat.

Goods not mentioned in boat-note when found in possession of any tindal or boatmen when on board of boat or on wharves to be presumed to have been stolen.

151. Whenever goods not specified in the boat-note mentioned in section 38 shall be found in the possession of any tindal or boatman when on board the boat in which he is employed, or when on the quays or wharves of any port or harbour of Ceylon, such tindal or boatman, in whose possession such goods are found, shall be presumed to have stolen the goods or to have unlawfully received the same knowing them to have been stolen; unless and until such tindal or boatman shall satisfactorily account for his possession thereof.

Onus probandi to be on the party.

152. 152. If any goods shall be seized for non-payment of duties or any other cause of forfeiture, and any dispute shall arise whether the duties have been paid for the same, or whether the same have been lawfully imported, or lawfully laden or exported, the proof thereof shall lie on the owner or claimer of such goods, and not on the Attorney-General or the officer who shall seize or stop the same.

Application of penalties.

153. * All forfeitures and penalties recovered under this Ordinance shall be paid into the hands of the Collector of Customs at the port or place where or nearest to which the same shall have been recovered, and shall be divided, paid, and applied (after deducting any expenses incurred) as follows, that is to say, one moiety to the Deputy Secretary to the Treasury,1 for the purpose of the general revenue of Ceylon, and the other moiety to the seizing officer, or informer, or both, in such manner as the Collector may direct.

* Application modified in the port of Colombo. – See section 16 of the Port of Colombo (Administration) Act.

Seized goods, if unclaimed for a month, to be condemned and dealt with accordingly. Seized goods may be given up on security-being given.

154. All ships, boats, goods, and other things which shall have been or shall hereafter be seized as forfeited under this Ordinance, shall be deemed and taken to be condemned, and may be dealt with in the manner directed by law in respect to ships, boats, goods, and other things seized and condemned for breach of such Ordinance, unless the person from whom such ships, boats, goods and other things shall have been seized, or the owner of them, or some person authorized by him, shall, within one month from the date of seizure of the same, give notice in writing to the Collector or other chief officer of customs at the nearest port that he intends to enter a claim to the ship, boat, goods, or other things seized as aforesaid, and shall further give security to prosecute such claim before the court having jurisdiction to entertain the same, and to restore the things seized or their value, and otherwise to satisfy the judgment of the court and to pay costs. On such notice and security being given in such sum as the Collector or proper officer of customs at the port where or nearest to which the seizure was made shall consider sufficient, the ship, boat, goods, or other things seized shall, if required, be delivered up to the claimant; but if proceedings for the recovery of the ship, boat, goods, or other things so claimed be not instituted in the proper court within thirty days from the date of notice and security as aforesaid, the ship, boat, goods, or other things seized shall be deemed to be forfeited, and shall be dealt with accordingly by the Collector or other proper officer of customs.

Claim to thing seized to be entered in the name of the owner.

155. No claim to anything seized under this Ordinance shall be admitted by such court, unless such claim be entered in the name of the owner, with his residence and occupation, nor unless oath to the property in such thing be made by the owner, or by his attorney or agent, by whom such claim shall be entered, to the best of his knowledge and belief, nor unless the claimant shall at the time of filing his libel or plaint to establish his claim satisfy the court that he has given notice and security as in section 154 enacted.

Notice to be given to officers.

156. No summons shall be sued out against, nor a copy of any process served upon, any officer of the customs or other person as aforesaid, for anything done in the exercise of his office, until one month after notice in writing shall have been delivered to him, or left at his usual place of abode, by the party who intends to sue out such summons or process, his attorney or agent, in which notice shall be clearly and explicitly stated the cause of the action, the name and place of the abode of the person who is to bring such action, and the name and place of abode of the attorney or agent; and no evidence of the cause of such action shall be produced except of such as shall be stated in such notice ; and no judgment shall be given for the plaintiff unless he shall prove on the trial that such notice was given ; and in default of such proof the defendant shall receive in such action a judgment and costs.

Actions to be brought within two months of the cause of them.

157. Every such action as in section 156 referred to shall be brought within two months after the cause thereof, and shall be laid and tried in the district where the facts were committed ; and if the plaintiff shall become non-suited, or shall discontinue the action, or if judgment shall be given against the plaintiff, the defendant shall receive the costs of suit.

Officer may tender amends.

158. It shall be lawful for such officer or other person as aforesaid, within one month after such notice, to tender amends to the party complaining, or to his agent, and to plead such tender in bar to any action, together with other pleas; and if the court shall find the amends sufficient, it shall give judgment for the defendant; and in such case, or in case the plaintiff shall become non-suited, or shall discontinue his action, or judgment shall be given for the defendant, such defendant shall be entitled to costs as in section 157 mentioned :

Provided always that it shall be lawful for such defendant, by leave of the court where such action shall be brought at any time before issue joined, to pay money into court as in other actions.

Judge may certify probable cause of seizure

159. In case any information shall be brought to trial on account of any seizure made under this Ordinance, and a Judgment shall be given for the claimant thereof, and the court before which the cause shall have been tried shall certify on the record that there was probable cause of seizure, the claimant shall not be entitled to any costs of suit, nor shall the person who made such seizure be liable to any action or prosecution on account of such seizure ; and if any action shall be brought to trial against any person on account of such seizure, wherein a judgment shall be given against the defendant, if the court before which such information shall have been tried shall have certified on the said record that there was a probable cause for such seizure, the plaintiff shall only be entitled to a judgment for the things seized, or the value thereof, and not to any damages, nor to any costs of suit.

Limitation of suits.

160. All actions or prosecutions for the recovery of any of the penalties or forfeitures imposed by this Ordinance may be commenced or prosecuted at any time within three years after the offence committed by reason whereof such penalty or forfeiture shall be incurred, any law, usage, or custom to the contrary notwithstanding.

Persons employed for the protection of the revenue to be deemed to be duly employed.

161 All persons employed for the protection of the revenue under the direction of the Minister or of the Collector shall be deemed and taken to be duly employed for the protection of the revenue ; and the averment in any information that such person was so duly employed shall be sufficient proof thereof, unless the defendant in such information shall prove to the contrary.

Vessels and goods seized and condemned may be disposed of as the Collector, &c, shall direct.

162. All ships and boats, and all goods whatsoever, which shall have been seized and condemned for a breach of this Ordinance, shall be disposed of as soon as conveniently may be after the condemnation thereof, in such manner as the Collector or other proper officer of

customs shall direct; Provided that all horses, cattle, or goods of a perishable nature may be sold forthwith.

Collector in certain cases may mitigate forfeiture or penalty.

163. In all cases in which under this Ordinance any ships, boats, conveyances, goods, or other things have become liable to forfeiture, or shall have been forfeited, and in all cases in which any person shall have incurred or become liable to any penalty, it shall be lawful for the Collector, should he deem such forfeiture or penalty unduly severe, to mitigate the same ; but all cases so determined by the Collector shall nevertheless be liable to revision by the Minister-(* Application modified by section 86 (2) of the Ceylon Ports Authority Act.)

Restoration of seized goods, ships, &c.

164. In case any goods, ships, or boats shall be seized as forfeited, or detained as undervalued, by virtue of this Ordinance, it shall be lawful for the Minister to order the same to be restored in such manner and on such terms and conditions as he shall think fit to direct; and if the proprietor of the same shall accept the terms and conditions prescribed by the Minister, he shall not have or maintain any action for recompense or damage on account of such seizure or detention and the person making such seizure shall not proceed in any manner for the purpose of obtaining the condemnation thereof.

The Minister may restore seizures, and mitigate or remit punishments and penalties.

165. The Minister may, by any order made for that purpose, direct any ship, boat, goods, or other commodities whatever, seized under this Ordinance, to be delivered to the proprietor thereof, whether condemnation shall have taken place or not, and may also mitigate or remit any penalty or fine or any part of any penalty or fine incurred under this Ordinance, or may release from confinement any person committed under this Ordinance, on such terms and conditions as to him shall appear to be proper:

Provided always that no person shall be entitled to the benefit of any order for such delivery, mitigation, remission, or release, unless such terms and conditions are fully and effectually complied with.

Possession of articles suspected to have been stolen.

166.

(1) Any person who, within the limits of any port, is found, or is proved to have been, in possession or in charge of any article which is suspected to have been stolen from any ship, boat, quay, warehouse, or wharf of any port of Ceylon, may be charged with being, or having been, in possession of property which is reasonably suspected to have been stolen ; and if such person does not give an account to the satisfaction of the Magistrate as to how he came by such article, and the Magistrate is satisfied that, having regard to all the circumstances of the case, there are reasonable grounds for suspecting such article to have been stolen, such person shall be guilty of an offence, and shall be liable on conviction before a Magistrate to a fine not exceeding one hundred rupees, or to imprisonment of either description for

a period not exceeding six months.

(2) Where any officer of customs or any police officer finds any person in possession or charge of any article which he suspects to have been stolen, he may seize such article and bring or cause to be brought such person before a Magistrate and charged as aforesaid.

PART XIV

INTERPRETATION OF TERMS USED IN THIS ORDINANCE

Interpretation, **167**. Whenever the several terms or expressions following shall occur in this Ordinance, or in any other enactment relating to the customs, the same shall be construed respectively in the manner hereinafter directed, unless there is anything in the context repugnant to such construction, that is to say-

" bonded warehouse" shall mean any place approved of by the Minister in which goods entered to be warehoused may be lodged, kept, and secured without payment of duty, although prohibited to be used in Ceylon;

" coastwise " shall mean the trade by sea from any one part of Ceylon to any other part thereof;

" Collector" shall mean the Principal Collector, Collector, deputy, assistant, sub-collector, or other principal acting officer of customs of any port or place;

" flashing point" shall mean " flashing point" as defined in the Petroleum Ordinance, or in any enactment that may hereafter be substituted therefor;

" foreign " shall mean the trade by sea to or from any part or place beyond the limits of Ceylon;

" kerosene oil" shall include the liquids commonly known by the names of rock oil, Rangoon oil, Burma oil, kerosene, petroleum, paraffin oil, mineral oil, petroline, gasoline, benzol, benzoline, benzine, and any liquid that is made from petroleum, coal, schist, peat, or any other bituminous substance, or from any products of petroleum with a flashing point of less than 150° F., and any inflammable hydrocarbon (including any mixture of hydrocarbon, and any liquid containing hydrocarbon) which is capable of being used for providing reasonably efficient motive power for a motor car; " warehouse of the Republic

" shall mean any place provided by the Government for lodging goods therein for the security of the customs;

" mail steamers" shall mean steamers running under contract with the United Kingdom, Indian, or Burmese, or any colonial or foreign Government;

" master" of any ship shall mean the person having or taking the charge or command of such ship ;

" officer of customs" shall mean any person acting as such for the time being;

" owner" shall alike mean one owner if there be only one, and any or all the owners if there be more than one;

" seamen " shall include mate, mariner, sailor, or landsman, being one of the crew of the ship ;

” ship ” shall mean ship or vessel of every description;

” true value “-

(a) the wholesale cash price, less trade discount, for which goods of the like kind and quality are sold, or are capable of being sold, at the time and place of importation without any abatement or deduction whatever except of the amount of the duties payable on the importation thereof; or

(b) where such price is not ascertainable, the cost at which goods of the like kind and quality could be delivered at such place without any abatement or deduction except of the duties as aforesaid ;

” warehouse” shall mean any place provided for the deposit of goods on the landing or for the shipment thereof for the security of the customs.